Forecasting the Future Through a Partisan Lens: Electoral Outcomes and Household Expectations

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Abstract

Using a two-wave panel fielded just before and the morning after the 2024 U.S. presidential election, we show that the outcome moved expectations within hours and before any policy change. Republicans lowered and Democrats raised both their inflation and unemployment expectations, leaving the aggregate mean almost unchanged. The election nonetheless reshaped second moments: Republicans became more confident and agreed more, whereas Democrats' uncertainty fell far less and their disagreement widened. Our findings show that, around political events, stable average expectations can mask large shifts in uncertainty and disagreement, which shape household spending and the transmission of monetary policy. Large language model personas matched to our respondents reproduce the partisan shift in means but largely miss the second-moment responses, limiting their use as substitutes for human surveys.

JEL Classification: D72, D84, E24, E31, E71, C83
Keywords: inflation expectations; partisanship; elections; subjective uncertainty; disagreement; large language models

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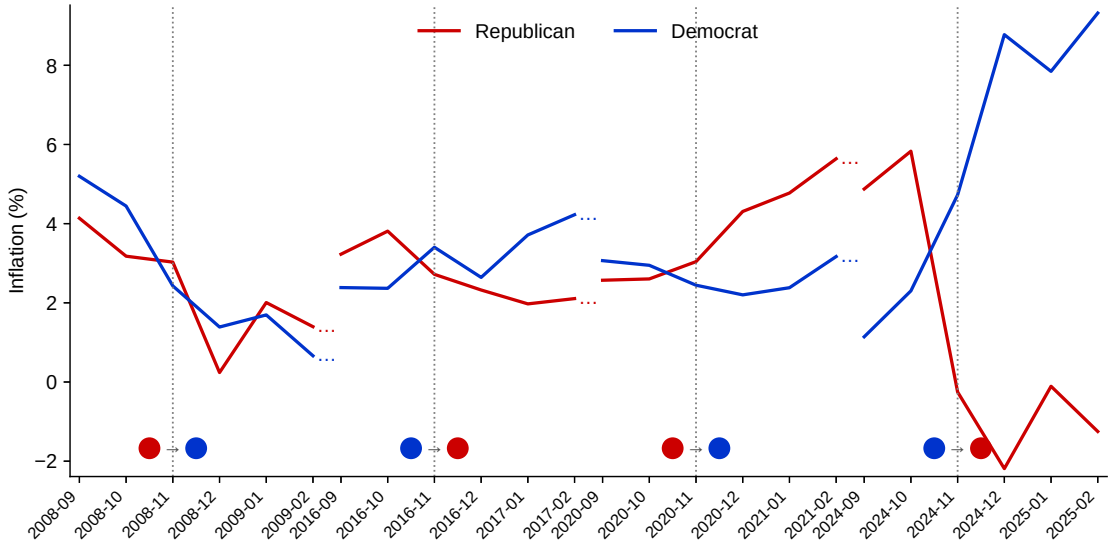
"We don't see things as they are, we see them as we are."

— Anaïs Nin

Political polarization in the United States has risen sharply over the past several decades, influencing not only partisan divisions but also the way individuals perceive social and economic reality. As political identities become increasingly salient, households appear more likely to evaluate economic conditions and form expectations about the future through a partisan lens. A growing body of economic research shows that political beliefs meaningfully shape expectations, leading households to revise their outlook for key macroeconomic variables following shifts in political power (see Figure 1). This literature, however, remains limited in two respects. First, most studies focus on a single outcome, usually inflation expectations, rather than analyzing the comovement of expectations across multiple economic variables. Second, they largely overlook higher moments of expectations, such as uncertainty and disagreement, even though these moments shape household decisions and the transmission of monetary policy. We address both gaps using a high-frequency panel survey around the 2024 U.S. presidential election. We then ask whether synthetic respondents generated by large language models (LLMs) reproduce what we observe. This question has practical relevance. LLM-generated responses are increasingly proposed as a low-cost complement to household surveys and as a tool for counterfactual analysis, but it is not known whether they capture how the distribution of beliefs, and not only its mean, responds to a political event.

We design a two-wave panel survey around the 2024 U.S. presidential election. Respondents report point forecasts and probabilistic beliefs about inflation and unemployment over the next 12 months shortly before the election and again on the morning after the outcome is known. The narrow timing window supports a causal interpretation of belief revisions as responses to the election outcome rather than to subsequent policy actions or gradual macroeconomic developments, under the assumption that expectations would not have changed over this short interval in the election's absence.[1] Because any effects of re-interviewing respondents apply equally across partisan groups, this assumption matters least for our main results, which concern partisan differences in updating. Our survey design also allows us to study second moments of expectations, such as subjective uncertainty and within-group disagreement, as well as the joint updating of inflation and

[1] High-frequency survey designs and survey-based event studies remain relatively rare in the macroeconomic literature, largely because their implementation requires precise timing around the event of interest. A notable exception is Lamla and Vinogradov (2019), who study how central bank communication affects household expectations. We contribute to this literature by extending this approach to a political context.



Notes: The figure plots the mean 12-month-ahead inflation expectations of Republicans (red) and Democrats (blue) in the Michigan Survey of Consumers, monthly, around the four presidential elections since 2008 in which the party holding the White House changed (2008, 2016, 2020, and 2024). Colored circles mark the party holding the White House before and after each election. The figure highlights only presidential elections in which the incumbent party changes.

Figure 1: Inflation Expectations Switch By Partisanship

unemployment expectations — features that are difficult to examine in the context of political polarization using publicly available datasets.

Our findings document large and sharply polarized belief revisions. After Trump's victory, Republican-affiliated respondents revise both inflation and unemployment expectations downward, while Democrat-affiliated respondents revise both upward. Independents update in a direction closer to Republicans. Because these revisions occur before any realized policy changes, they are consistent with the interpretation that partisan identity shapes the processing of common information. The election nonetheless moves second moments, including in the aggregate. The response of uncertainty is asymmetric: Republicans become more confident, with subjective uncertainty declining, whereas Democrats show little change in subjective uncertainty, although the effect still points downward. Meanwhile, within-party disagreement falls among Republicans but rises among Democrats, suggesting that the same public signal can generate convergence in beliefs for one group and divergence for another. To interpret these patterns, we develop

a theoretical framework that builds on the rational partisan model of Alesina (1987) and Alesina and Sachs (1988). As in that model, households average over the two possible administrations before the election and adopt their view of the winner once the outcome is known. We depart from it in three respects: households expect both lower inflation and lower unemployment when their own party governs; they share a view of what their own party would deliver but differ in their views of the other party; and supporters of the winning party gain more confidence than supporters of the losing party.

Taking a step further, we examine whether AI personas that mirror the demographic characteristics of our survey participants (including income, gender, education, age, region of residence, and political identity) can reproduce the patterns observed in survey responses. Using three widely used LLMs (GPT-5.1, Claude Sonnet 4.6, and Gemini 3.1 Pro Preview), we find that synthetic agents partly replicate the forecast revisions observed in household surveys following news about the election results. Democrat- and Republican-persona agents revise their point forecasts in the same directions as their human counterparts, although by much smaller amounts. Second moments are reproduced only in part. Synthetic forecasts are far less dispersed than human forecasts: the cross-sectional standard deviation of inflation forecasts is below one percentage point for every model and persona group, compared with 6 to 11 percentage points among humans. The models capture the narrowing of disagreement among Republicans but, with one exception, not its widening among Democrats, and inflation uncertainty rises after the election in all three models, whereas it falls among human respondents. At the respondent level, agreement between each persona and its human counterpart is low, and the direction of individual revisions matches in 44 to 57 percent of cases, only modestly more often than chance. One possible explanation is that the existing literature linking expectations formation to political affiliation has focused primarily on point forecasts of macroeconomic variables. Consequently, LLMs may not have sufficiently learned how the dispersion of expectations or the variance of distributional forecasts responds to political events and partisan identity.

To further explore this mechanism, we conduct a counterfactual exercise by providing AI agents with an alternative information treatment in which Kamala Harris wins the election. Under this scenario, the partisan pattern in inflation expectations reverses: Democratic AI agents lower their inflation expectations, while Republican AI agents raise theirs, consistent with findings in the existing literature. The reversal is incomplete for unemployment, however: Democratic agents lower their unemployment forecasts, but so do Republican agents. Moreover, the second moments of expectations are not

systematically reproduced. Synthetic respondents thus reproduce the dimension of partisan expectations that is best documented in the literature, the direction of mean inflation revisions, and miss the dimensions that are not.

Our findings contribute to a growing literature on political polarization and macroeconomic expectations. Existing work documents that partisans hold systematically different outlooks and that electoral outcomes shift average expectations. Gillitzer et al. (2021) show for the United States and Australia that consumers expect significantly lower inflation when the party they support holds executive office, a pattern they relate to stereotypical thinking about parties. Binder et al. (2024) document a large partisan gap in inflation expectations during the COVID-era inflation, and Kamdar and Ray (2023) show that partisan expectations translate into partisan differences in consumption. Coibion et al. (2020) show that expectations differ sharply when respondents forecast conditionally on a candidate winning, underscoring the partisan nature of macro beliefs. Using Gallup and Michigan Survey of Consumers (MSC) data, Mian et al. (2023) document how aggregate expectation gaps evolve across political affiliations around the 2008 and 2016 elections. Related work highlights that political alignment also shapes perceived institutional trust: Kuang et al. (2024) show that under a hypothetical Trump victory, Republicans are more likely to view the Federal Reserve as an in-group institution, while Democrats are more likely to view it as an out-group institution; Kuang et al. (2025) and Binder et al. (2025) document pronounced partisan differences in trust in the Fed and inflation expectations around the 2025 Trump inauguration. Finally, DiGiuseppe et al. (2025) report sizable inflation-expectation updating after the 2024 election using a pre-election survey and a follow-up one month later, a window that includes the post-election transition and early policy announcements.

We complement this evidence in three ways. First, rather than relying on hypothetical scenarios, information treatments, or low-frequency field data, we use a tightly timed two-wave panel around Election Day to measure belief revisions in real time and natural settings. This high-frequency design isolates revisions to the election outcome itself (before policy implementation) and provides a useful lens on partisan updating to a common public signal. Second, we go beyond mean effects and document second-moment responses: how subjective uncertainty and within-party disagreement move after the election, and how these movements differ by political affiliation. Third, we study joint updating of inflation and unemployment expectations, providing evidence on how households map political news into a broader macro outlook and highlighting heterogeneity in underlying mental models.

Our study contributes to an important but still underdeveloped literature on the macroeconomic role of disagreement and uncertainty in expectations. Mankiw et al. (2003) argue that disagreement dynamics are economically meaningful and should be incorporated into macroeconomic models. Falck et al. (2021) and Dong et al. (2024) further show that the effectiveness of monetary policy depends on the extent of disagreement about future inflation. With respect to uncertainty, Bachmann et al. (2013) show that uncertainty shocks are associated with declines in production and real activity, and Coibion et al. (2024) show experimentally that higher macroeconomic uncertainty reduces household spending. Our paper adds to this literature by identifying salient political events as a determinant of both uncertainty and disagreement. Specifically, we show that while the offsetting nature of Democratic and Republican revisions leaves the first moment (aggregate expectations) largely unchanged, elections still exert a statistically significant effect on individual-level subjective uncertainty and markedly shift within-group disagreement.

The paper also speaks to an emerging literature that studies whether AI-generated personas can replicate the behavior of human agents (Horton 2023; Argyle et al. 2023; Hansen et al. 2024; Zarifhonarvar 2026). Recent evidence suggests that large language models can reproduce some empirical regularities in economic expectations and public opinion, including heterogeneous inflation expectations and survey-like ideological patterns, and that LLMs can produce competitive aggregate inflation forecasts. Yet most of this work has focused on broad simulation environments, public opinion measurement, or persuasion, rather than on partisan belief formation in the aftermath of salient political events. As a result, it remains unclear whether AI-generated personas can recover the polarized updating of macroeconomic expectations documented in household survey data, especially with respect to higher moments such as subjective uncertainty and disagreement. We address this gap by applying AI-generated personas to the context of presidential elections and testing whether they replicate both the first and second moments of post-election expectation revisions.

The rest of the paper is organized as follows. Section 1 describes the survey experiment. Section 2 documents partisan revisions in the first and second moments of expectations. Section 3 presents a theoretical framework that accounts for these revisions. Section 4 presents the synthetic survey, Section 5 describes the counterfactual exercise, and Section 6 concludes.

1 Experiment and Data

The survey is designed to measure high-frequency belief updating around the 2024 presidential election. We fielded a two-wave panel: respondents reported pre-election expectations shortly before Election Day and were re-interviewed on November 6, 2024, after the outcome became known (see Figure 2). This structure allows us to compare within-respondent revisions in inflation and unemployment expectations and to relate these revisions to political affiliation.

The first wave took place on November 1–2, 2024, three days before the U.S. presidential election. This survey was part of the Randomized Control Trial (RCT) experiment described in Drobot (2025).[2] In this wave, respondents were asked to provide their 12-month-ahead inflation and unemployment expectations in the form of density forecasts and point forecasts. In designing the inflation expectations elicitation method, we followed the approach used in the well-known New York Fed Survey of Consumer Expectations (SCE). Armantier et al. (2017) provides an overview of the SCE and the rationale behind its question formatting. In addition, our survey included a series of open-ended questions, political affiliation questions, demographic questions, and other relevant questions. Respondents were also asked about their expectations regarding the election outcome, which lets us distinguish updating when the realized outcome aligns with prior beliefs from updating under surprise.

The second wave was conducted on the morning of November 6, 2024, immediately after the election results were announced.[3] Respondents were first asked the same density forecast questions about inflation and unemployment as in the first wave. They were then shown a news post from The New York Times reporting Donald Trump's election victory, and asked to select a Facebook-like reaction towards the news. After this, they provided point forecasts for inflation and unemployment.

Because nearly all respondents already knew the outcome when they started the survey, the news post acts as a reminder rather than as an information treatment, and we

[2] In Drobot (2025), respondents were randomly assigned to read differently framed news about the Federal Reserve's interest rate cut, economically unrelated news, or no news (control group). Because assignment was random, any treatment effect is common to all partisan groups in expectation and does not affect the partisan differences in revisions we study. Moreover, Michigan Surveys of Consumers respondents, who received no treatment, show the same partisan reversal after the election (Figure 1).

[3] To our knowledge, there were no significant policy announcements or newly released macroeconomic data that could have noticeably affected expectations. This suggests that the election outcome was likely the most salient signal respondents received during that short period.

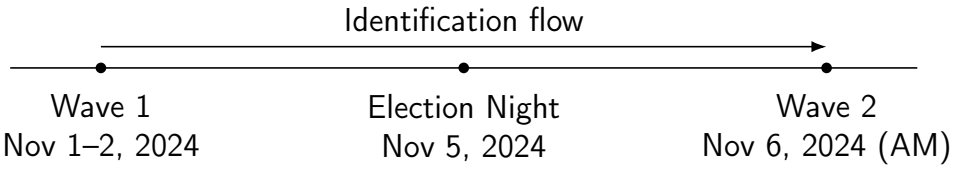


Figure 2: Survey timeline around the 2024 U.S. election

do not interpret it as an experimental intervention.[4] This observation suggests that major political news diffuses rapidly among the public.

To obtain a U.S.-representative sample, we recruited participants through the Prolific platform. In the first wave of the survey, we collected 986 responses. From this pool, we randomly selected 399 individuals to participate in a follow-up survey (second wave).[5] In our analysis, we classify respondents as Democrats or Republicans if they either identify with a party or lean toward it. Appendix Table A1 summarizes the demographic characteristics of the sample. Democrats in our sample tend to be younger, somewhat more racially diverse, and more likely to have attended college than Republicans. These patterns closely mirror the demographic profiles of Republican and Democratic voters reported in other surveys, suggesting that our sample captures key demographic features of the representative U.S. population (Pew Research Center 2023).

The complete survey instruments, including question wording and response options, are presented in Appendix F.

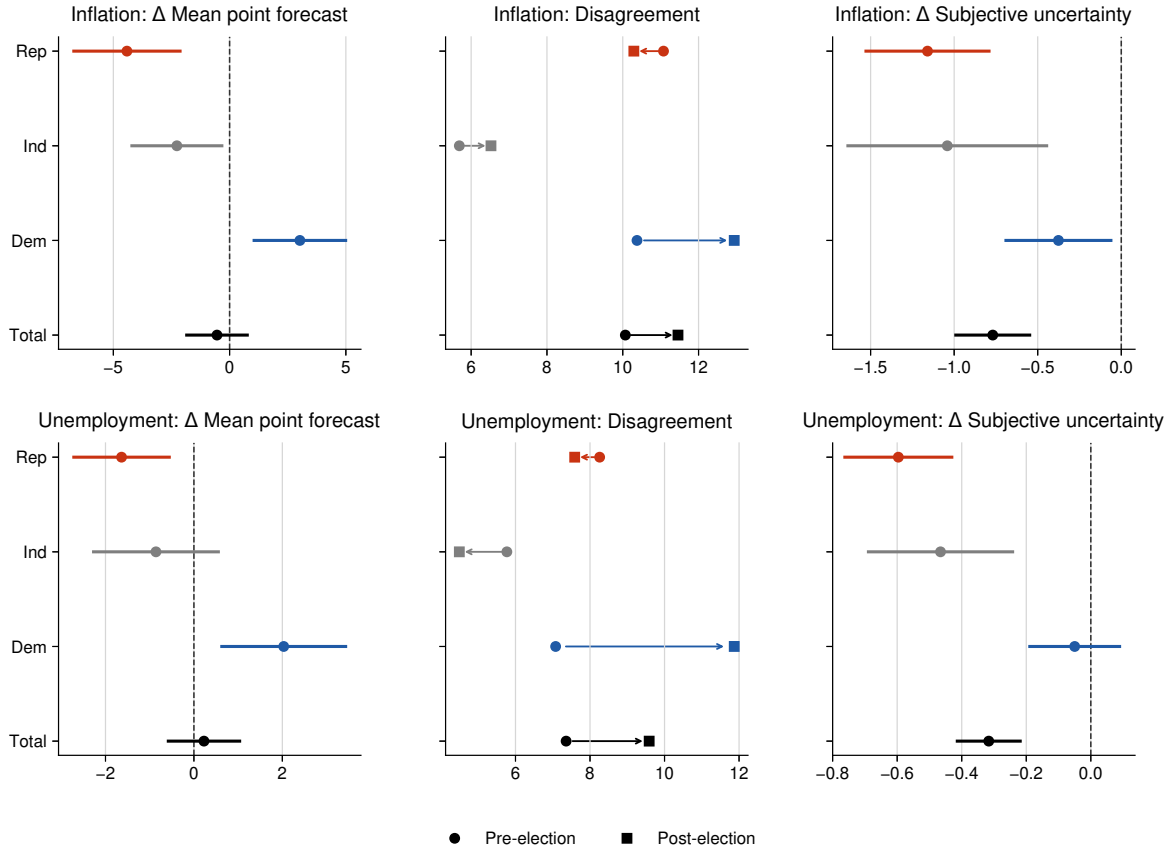
2 Partisan Forecast Revision

2.1 Descriptive Facts

Figure 3 summarizes the main empirical results by presenting the mean forecast revision, the change in aggregate disagreement, and the mean change in subjective uncertainty. We discuss each of these findings below.

[4] Specifically, we asked respondents, "Before taking part in this survey, were you aware of the results of the recent U.S. presidential election?" 94% of respondents answered "Yes, I was aware of the results."

[5] The second wave included more participants, but not all respondents completed the survey. Although the sample is modest in size, the panel structure allows us to measure within-respondent revisions, which removes persistent individual differences in forecast levels and substantially increases precision relative to comparing separate cross-sections. As shown in Section 2, the main partisan effects are large and statistically significant.



Notes: The figure shows how inflation and unemployment beliefs changed after the election across political affiliation groups. The Δ panels report the average change between post-election and pre-election responses in mean point forecasts and subjective uncertainty; whiskers indicate 95% confidence intervals. The disagreement panels report belief dispersion in levels, measured as the cross-sectional standard deviation before the election (circles) and after the election (squares). The categories Rep, Ind, and Dem denote Republicans, Independents, and Democrats, respectively; Total refers to the full sample.

Figure 3: Election-Induced Changes in Expectations, Disagreement, and Uncertainty

Partisan-Biased Forecast Revisions In the days preceding the election, expectations already differed sharply by political affiliation. Democrats reported both lower expected inflation and lower expected unemployment than Republicans. Mean inflation expectations were 2.30% among Democrats and 3.93% among Republicans, while mean unemployment expectations were 6.34% and 7.83%, respectively (Table 1). This gap is consistent with the well-documented tendency of partisans to view the economy more favorably when their party holds the White House (Mian et al. 2023), as the Democratic Party was the incumbent at the time of our survey. Electoral beliefs were also strongly polarized: 72% of Democrats expected Kamala Harris to win, whereas 80% of Republicans expected

a Donald Trump victory (Appendix Figure A.1). These beliefs determine how surprising the realized outcome was for each respondent, which we exploit in Section 2.2.

[Table 1 about here.]

Following the election, we observe an immediate and highly partisan revision in beliefs (Figure 3). Consistent with Kamdar and Ray (2023), respondents update their expectations sharply once the electoral outcome becomes known. The direction of updating is strongly polarized: Democrats revise both inflation and unemployment expectations upward, while Republicans and Independents revise both downward. This pattern is notable because it runs counter to the conventional Phillips curve intuition, under which inflation and unemployment would typically be expected to move in opposite directions. Instead, our evidence suggests that households interpret the same political event through a partisan lens, generating comovement in expectations across macroeconomic variables rather than internally consistent updating based on standard macroeconomic relationships.

The magnitude of these revisions is economically meaningful. In particular, Republicans on average come to expect deflation after the election, with mean inflation expectations falling to -0.49%. This need not be interpreted as a pessimistic assessment of the economy. A large literature shows that households generally regard inflation as undesirable (Stantcheva 2024; Shiller 1997), so lower inflation expectations may instead reflect a more favorable economic outlook. Our survey data support this interpretation. As shown in Appendix Figure A.3, respondents tend to associate lower inflation with better economic outcomes, and those who initially expected deflation frequently evaluated this scenario as "Very Good" for the economy.

A central implication of these results is that aggregation obscures substantial heterogeneity in belief updating. The downward revisions among Republicans are, to a large extent, offset by the upward revisions among Democrats, leaving relatively little movement in the aggregate mean. An analysis centered only on first moments would therefore suggest limited post-election updating, even though within-party revisions are large and systematic. This compositional masking is important, because it implies that aggregate stability need not reflect the absence of belief change; it may instead arise from offsetting partisan responses to a common public signal.

Offsetting partisan revisions do not vanish from the aggregate; they reappear in its second moments. Because Republicans and Democrats revised in opposite directions, cross-sectional disagreement rose even as the mean barely moved (from 10.1 to 11.5 for inflation and from 7.4 to 9.6 for unemployment; Table 1). Second moments also capture

changes that first moments cannot. By resolving a major source of political uncertainty, an election may alter the confidence with which households hold their forecasts even when it leaves the forecasts themselves unchanged. These dimensions matter for economic outcomes: higher subjective uncertainty depresses household spending (Coibion et al. 2024), and greater disagreement about inflation weakens monetary policy transmission (Falck et al. 2021). Mean revisions alone therefore understate how political events reshape expectations.

Partisan Divergence in Disagreement In contrast to the average point forecast, aggregate disagreement, measured by the standard deviation of forecasts, increased after the election. This increase was driven primarily by Democrats, indicating greater dispersion in their post-election beliefs. Among Republicans, by contrast, disagreement declined, suggesting that the election outcome compressed beliefs within the group. This pattern is in line with prospect theory (Tversky and Kahneman 1979), according to which losses loom larger than gains. If unfavorable political outcomes generate stronger and more heterogeneous reactions than favorable ones, disagreement should widen among the losers and narrow among the winners. A complementary interpretation is that winners broadly agree about what their own party will do in office, whereas losers hold more varied views about how the opposing administration will govern. This pattern mirrors what we found for average expectations: within each party, disagreement in inflation and disagreement in unemployment forecasts moved together — both widening among Democrats and both narrowing among Republicans.

This pattern suggests that whether households are on the winning or losing side of an election can shape disagreement, independently of how average expectations move. This matters because disagreement is not merely noise in expectations data but has macroeconomic consequences of its own. As Mankiw et al. (2003) argue, disagreement "may be a key to macroeconomic dynamics". Our findings therefore suggest that major political events may matter for macroeconomic dynamics even when aggregate mean expectations appear stable, because they can generate substantial changes in disagreement across and within partisan groups that standard analyses based on first moments alone would miss.

Winner–Loser Asymmetry in Subjective Uncertainty One important advantage of our survey design is that, in addition to point forecasts, we elicit density forecasts, which

allow us to measure individual-level forecast uncertainty.[6] We find that subjective uncertainty declines after the election both in the aggregate and within each political group, although the decline among Democrats is much smaller and statistically insignificant for unemployment expectations. In other words, following the resolution of electoral uncertainty, respondents generally become more confident in their forecasts. This pattern is consistent with the recent findings of Drobot (2025), who shows, using social media news data together with the New York Fed's Survey of Consumer Expectations (SCE), that emotionally charged events can increase certainty in household expectations.

Two mechanisms can account for both the broad decline in uncertainty and its concentration among Republicans. First, emotions differ in their certainty appraisals (Tiedens and Linton 2001): happiness and contentment increase confidence in one's judgments, whereas worry and fear reduce it. Election winners are likely to experience the former, while losers experience a mix of certainty-associated emotions, such as anger, and uncertainty-associated ones, such as anxiety, which dampens the net effect. Second, although the election resolves uncertainty about who governs, its informativeness about future policy differs across groups. For winners, the outcome is a precise signal about policies they understand and endorse; for losers, it may raise uncertainty about how the opposing administration will govern. This interpretation is also consistent with the rise in disagreement among Democrats. Differential surprise, by contrast, cannot explain the pattern: the partisan gap in uncertainty revisions persists among Democrats who correctly anticipated Trump's victory (Table 2, columns (3) and (6)). Nor does it reflect differences in prior uncertainty, since the decline remains much smaller for Democrats in proportional terms (11 versus 25 percent for inflation and 3 versus 29 percent for unemployment; Table1).

Our finding also carries an important economic implication, because expectations uncertainty can shape household decision-making. Existing research shows that uncertainty about future economic conditions itself affects choices such as consumption, borrowing, saving, and investment (Ben-David et al. 2018). This implies that focusing exclusively on first moments after salient public events can be misleading for policymakers. In our setting, aggregate mean expectations exhibit little movement because partisan revisions largely offset one another. Yet subjective uncertainty and disagreement change markedly.

[6]We measure subjective uncertainty as the standard deviation implied by the density forecast, estimated using the center-point approach: the probability assigned to each bin is placed at the bin's midpoint, so that respondent i's uncertainty is $\sigma_i = \left(\sum_k p_{ik}(m_k - \mu_i)^2\right)^{1/2}$, where p_{ik} is the probability assigned to bin k, m_k is its midpoint, and $\mu_i = \sum_k p_{ik} m_k$ is the density mean. Open-ended bins are assigned midpoints of 16 and -16 percent for inflation and of 13 and 1 percent for unemployment.

A policymaker observing only the average expectation could therefore conclude that the election had little effect on households' economic outlook, even though the event may still influence behavior through changes in confidence and the dispersion of beliefs. For central banks in particular, this suggests that monitoring aggregate first moments alone may understate the economic consequences of major political shocks.

2.2 Baseline Specification

The descriptive patterns above suggest that respondents revised their macroeconomic expectations differently depending on their political affiliation. However, these differences may partly reflect differences in demographic composition across partisan groups or differences in how surprising the election outcome was to respondents. For example, Republicans, Democrats, and Independents entered the election with different prior beliefs about the likely winner, so part of the observed heterogeneity in forecast revisions may reflect the extent to which the realized outcome was unexpected rather than partisanship itself. To assess whether partisan differences remain after accounting for these factors, we estimate the following baseline specification:

$$\Delta y_i = \beta_0 + \beta_1' S_i + \beta_2' P_i + \Psi X_i + \varepsilon_i, \tag{1}$$

where Δy_i denotes household i's forecast revision or change in subjective uncertainty. Forecast revisions for inflation and unemployment are computed as the difference between the posterior point forecast collected in the second survey, conducted on November 6, and the prior point forecast collected in the first survey, conducted on November 1–2. Changes in subjective uncertainty are constructed analogously, using the respondent-level standard deviation implied by the probability distribution over forecast bins.

The vector S_i captures the extent to which the election outcome was unexpected for respondent i, based on their pre-election expectation about the likely winner. It consists of two indicators: one for respondents who expected Kamala Harris to win and one for respondents who were unsure or expected another candidate to win, with respondents who expected Donald Trump to win (no surprise) as the omitted category; it thus captures whether the realized outcome constituted a surprise to the respondent. The vector P_i consists of indicators for political affiliation — Democrat, Republican, or Independent — with Republicans as the omitted category. The vector X_i contains individual charac-

teristics measured before the election: age group, gender, personal income, education, household size, race, and cognitive ability, as well as the absolute error in the respondent's perception of the current rate of the forecast variable (inflation or unemployment). This specification allows us to evaluate whether Republicans, Democrats, and Independents differ systematically in their forecast revisions and changes in confidence, conditional on both observable characteristics and the extent to which the election result represented an unexpected signal.

Point Forecast Revisions Panel A of Table 2 shows that respondents in the omitted category — Republicans who predicted a Trump victory in the pre-election survey — revised their forecasts sharply downward after the election, by 4.3 percentage points for inflation and 1.7 percentage points for unemployment (columns (1) and (4)). Both estimates are significant at the 1 percent level.

Relative to this group, respondents whose expectations were contradicted by the outcome revised their forecasts upward. Holding party affiliation fixed, those who had expected Harris to win raised their inflation and unemployment forecasts by 2.9 and 1.9 percentage points more than those who had expected Trump to win. These effects shrink only modestly with demographic controls (2.7 and 1.8 percentage points; columns (2) and (5)), indicating that electoral surprise played an important role in belief updating.

Partisanship shifts revisions further. Holding pre-election expectations fixed, Democrats raised their inflation and unemployment forecasts by 3.8 and 1.4 percentage points more than Republicans. This gap persists, and slightly widens, with demographic controls (3.9 and 1.7 percentage points), so it does not reflect differences in observable characteristics. Independents, by contrast, are statistically indistinguishable from Republicans. Because 72 percent of Democrats expected Harris to win, the two effects compound for the typical Democrat.

Columns (3) and (6) allow the partisan gap to vary with pre-election expectations. In this specification, the Democrat coefficient measures the partisan gap among respondents who correctly anticipated Trump's victory, for whom the outcome was not a surprise. This gap remains positive (2.7 and 1.5 percentage points) but is imprecisely estimated, because few Democrats expected Trump to win (Appendix Figure A.1). The interaction terms are individually insignificant, providing no evidence that the partisan gap depends on whether the outcome was a surprise. The partisan gap in point forecasts is therefore best measured by columns (2) and (5), where it is large and statistically significant conditional on pre-election expectations.

[Table 2 about here.]

Subjective Uncertainty Revisions Panel B of Table 2 examines whether the election also affected respondents' confidence in their macroeconomic forecasts. Republicans who anticipated a Trump victory (the omitted category) reduced their subjective uncertainty after the election for both inflation and unemployment (-1.14 and -0.56; columns (1) and (4)), with both estimates significant at the 1 percent level.

Unlike point forecasts, uncertainty revisions are unrelated to electoral surprise. Conditional on party affiliation, respondents who had expected Harris to win or were unsure of the outcome did not revise their uncertainty differently from those who had expected Trump to win; none of the surprise coefficients is statistically significant. Confidence updating thus appears to be driven by partisan identity rather than by the degree of surprise.

Party affiliation, by contrast, matters. Because the dependent variable is posterior minus prior uncertainty, the positive Democrat coefficients (0.78 for inflation and 0.53 for unemployment) imply that Democrats' uncertainty declined by less than Republicans'. For unemployment, the gap nearly offsets the baseline decline, leaving Democrats' uncertainty essentially unchanged. These estimates are similar with controls (0.90 and 0.51), and Independents do not differ significantly from Republicans. The resolution of electoral uncertainty therefore increased confidence mainly among Republicans.

Columns (3) and (6) show that, as with point forecasts, the partisan gap does not vary with the type of electoral surprise: none of the interaction terms is statistically significant. Here, however, the gap is precisely estimated even among respondents who correctly anticipated Trump's victory: Democrats' uncertainty revisions exceed those of Republicans by 1.24 for inflation and 0.65 for unemployment, both significant at the 1 percent level. That this gap arises even among respondents who expected the outcome indicates that the partisan difference in confidence does not stem from surprise.

3 Theoretical Framework

In this section, we use a simple framework to organize the patterns documented above and to identify which assumptions are needed to account for them. The framework builds on the rational partisan model of Alesina (1987) and Alesina and Sachs (1988): before the election, households average over the two possible administrations, and once the winner is known, they update toward the winner's policies. We depart from this model in three

respects. First, rather than sharing one model of the economy in which parties differ only in the inflation rate, each household holds its own view of what each administration would deliver for both inflation and unemployment. Second, households agree on what their own party would deliver but differ in their views of the other party. Third, how confidently a household holds the winner's view depends on whether its party won. We first state the framework and its four assumptions, and then apply it to the 2024 election. All derivations are in Appendix B.

3.1 Setup and Assumptions

Each household i is affiliated with a party $g \in \{R, D\}$, Republican or Democratic, and assigns a pre-election probability p_i to a Republican victory. Whatever its affiliation, the household holds a belief about each possible administration $a \in \{R, D\}$. For each variable $x \in \{\pi, u\}$, this *scenario belief* consists of the value of x the household expects if a governs, x_{ia}, and its uncertainty about x in that case, σ^2_{ia}. Let $d_i \equiv x_{iR} - x_{iD}$ denote the difference it expects between the two administrations. Affiliation determines which scenario concerns the household's own party: we write $x_{i,\text{own}}$ and $\sigma^2_{i,\text{own}}$ for the scenario $a = g$, and $x_{i,\text{out}}$ and $\sigma^2_{i,\text{out}}$ for the other one.

A1. Expectations average over scenarios. Before the election, the household does not know who will govern, so its belief is a mixture of its two scenario beliefs, weighted by p_i. Its point forecast and uncertainty are the mean and variance of this mixture:

$$x^e_{i,\text{pre}} = p_i\, x_{iR} + (1-p_i)\, x_{iD}, \qquad \sigma^2_{i,\text{pre}} = p_i\, \sigma^2_{iR} + (1-p_i)\sigma^2_{iD} + p_i(1-p_i)\, d_i^2. \tag{2}$$

The last term is uncertainty about who will govern, which is larger the less certain the household is about the outcome and the more the two administrations differ in its view. The election reveals the winner, $w \in \{R, D\}$. Right after the election, before any new policy is enacted, the household's scenario beliefs are unchanged, and its belief becomes the winner's scenario:

$$x^e_{i,\text{post}} = x_{iw}, \qquad \sigma^2_{i,\text{post}} = \kappa_g\, \sigma^2_{iw}. \tag{3}$$

The factor $\kappa_g > 0$ compares uncertainty after the election with the uncertainty the household had within the winner's scenario. If households only learn who won, $\kappa_g = 1$; $\kappa_g < 1$ means they become more confident than that, and $\kappa_g > 1$ less confident. Because κ_g affects how widely beliefs are spread, not where they are centered, it does not affect point forecasts.

A2. A better economy under the own party. Each household expects both lower inflation and lower unemployment if its own party governs: $x_{i,\text{out}} - x_{i,\text{own}} = \delta_i > 0$ for $x \in \{\pi, u\}$. This reflects evidence that households expect better economic outcomes when their party holds office (Bordalo et al. 2016; Gillitzer et al. 2021) and associate higher inflation with worse economic conditions rather than with a stronger economy (Candia et al. 2020; Andre et al. 2022; Kamdar and Ray 2024).

A3. A shared view of the own party, different views of the other. Households affiliated with party g share a view of what their own party would deliver, $x_{i,\text{own}} = \bar{x}_g$, and hold it with more confidence, $\sigma^2_{i,\text{own}} \leq \sigma^2_{i,\text{out}}$. They differ, however, in how much worse they expect the other party to be, δ_i. Supporters know their own party's program well and largely agree on its effects, whereas the other party's program is less familiar and open to interpretation, so the same public information leads them to different conclusions (Kandel and Pearson 1995). Under A2–A3, the scenario beliefs of Republicans and Democrats are

	If R governs	If D governs
Republican ($g = R$)	$x_{iR} = \bar{x}_R,\ \ \sigma^2_{iR} = \sigma^2_{i,\text{own}}$	$x_{iD} = \bar{x}_R + \delta_i,\ \ \sigma^2_{iD} = \sigma^2_{i,\text{out}}$
Democrat ($g = D$)	$x_{iR} = \bar{x}_D + \delta_i,\ \ \sigma^2_{iR} = \sigma^2_{i,\text{out}}$	$x_{iD} = \bar{x}_D,\ \ \sigma^2_{iD} = \sigma^2_{i,\text{own}}$

so $d_i = -\delta_i$ for Republicans and $d_i = +\delta_i$ for Democrats.

A4. Winners gain more confidence. The same news makes supporters of the winning party more confident than supporters of the losing party: κ_g is lower for $g = w$ than for the other party. This conjecture is motivated by the literature on motivated beliefs, in which people value holding favorable beliefs and process favorable and unfavorable information asymmetrically (Bénabou and Tirole 2016).

3.2 Implications for the 2024 Election

In 2024, Republicans won, $w = R$. After the election, every household therefore holds the first column of the table above: Republicans hold their own party's scenario, while Democrats hold the other party's scenario. By A4, $\kappa_R < \kappa_D$.

Means. Substituting the table into (2) and (3) gives each household's point forecast before and after the election:

$$\begin{aligned}
\text{Republicans:}\quad & x^e_{i,\text{pre}} = \bar{x}_R + (1-p_i)\,\delta_i, && x^e_{i,\text{post}} = \bar{x}_R, && \Delta x^e_i = -(1-p_i)\,\delta_i, \\
\text{Democrats:}\quad & x^e_{i,\text{pre}} = \bar{x}_D + p_i\,\delta_i, && x^e_{i,\text{post}} = \bar{x}_D + \delta_i, && \Delta x^e_i = +(1-p_i)\,\delta_i.
\end{aligned} \tag{4}$$

Before the election, each forecast is the household's view of its own party plus δ_i weighted by the pre-election probability that the other party wins. Republicans therefore revise down and Democrats up, in proportion to the surprise, $1-p_i$.[7] This matches the opposite revisions of the two groups and their dependence on the expected winner (Figure 3; Table 2, Panel A). Because A2 holds for both variables, inflation and unemployment forecasts move in the same direction (Figure A.2).

Disagreement. For simplicity, all households within a party share the same view of their own party, $\bar{x}_g$, so by (4) their forecasts differ only through p_i and δ_i.[8] Within-party disagreement, the cross-sectional variance of point forecasts, evolves as

$$\text{Republicans: } \text{Var}\big((1-p_i)\,\delta_i\big) \longrightarrow 0, \qquad \text{Democrats: } \text{Var}\big(p_i\,\delta_i\big) \longrightarrow \text{Var}(\delta_i). \tag{5}$$

Republicans converge on their shared view of their own party, leading to a reduction in disagreement. In contrast, Democrats' post-election forecasts depend on their heterogeneous views of the Republican administration, so their disagreement need not decline and may even increase. The framework thus accounts for the asymmetric evolution of disagreement between Republicans and Democrats (Figure 3).

Uncertainty. By (2) and (3) with $w = R$, uncertainty changes for three reasons:

$$\Delta\sigma_i^2 = -\underbrace{p_i(1-p_i)\,d_i^2}_{\text{winner known}} + \underbrace{(1-p_i)\big(\sigma_{iR}^2-\sigma_{iD}^2\big)}_{\text{within-scenario variance}} + \underbrace{(\kappa_g-1)\,\sigma_{iR}^2}_{\text{confidence}}. \tag{6}$$

The first term is the uncertainty about who would govern, which the election resolves. It lowers uncertainty for every household, and most for households that were unsure about the outcome and expected the two administrations to differ substantially. The second term captures the difference between the pre-election weighted average of the two scenario-specific variances and the variance associated with the winning administration. It lowers uncertainty if the household holds the winner's scenario with more confidence than the other one, and raises it otherwise. The more surprised the household, the larger

[7] Our survey asks which candidate respondents expected to win, not the probability they assigned to that outcome. Respondents who expected a Trump victory may therefore still have p_i well below one, which is consistent with the downward revisions of Republicans in this group.

[8] If own-party views also vary across households but do not change between the two waves and are independent of p_i and δ_i, within-party disagreement is higher both before and after the election, but its change is the same (Appendix B, A.3).

this effect, as the difference is weighted by the pre-election probability assigned to the losing administration. Together, these two terms are the effect of learning the outcome, and both vanish for a household that was certain of it. The third term captures any further change in how confidently the household holds the winner's scenario, and it does not depend on p_i. Substituting the table, the three terms differ for Republicans and Democrats:

$$\begin{aligned} \text{Republicans:}\ \ \Delta\sigma_i^2 &= -p_i(1-p_i)\,\delta_i^2 - (1-p_i)\big(\sigma_{i,\text{out}}^2 - \sigma_{i,\text{own}}^2\big) - (1-\kappa_R)\,\sigma_{i,\text{own}}^2, \\ \text{Democrats:}\ \ \Delta\sigma_i^2 &= -p_i(1-p_i)\,\delta_i^2 + (1-p_i)\big(\sigma_{i,\text{out}}^2 - \sigma_{i,\text{own}}^2\big) + (\kappa_D - 1)\,\sigma_{i,\text{out}}^2. \end{aligned} \tag{7}$$

For Republicans, the first two terms both reduce uncertainty. Learning who won removes uncertainty about the election outcome, while the winner's scenario is their own party's, which they hold with more confidence. When $\kappa_R < 1$, they become more confident still. Under this condition, their uncertainty therefore falls unambiguously.

For Democrats, the terms work in opposite directions. Learning who won lowers their uncertainty, but they now face the other party's scenario, which they hold with less confidence, and the confidence term raises uncertainty further when $\kappa_D > 1$. The net effect depends on which force dominates.[9] For Democrats, uncertainty can *fall* when they assigned a substantial probability to a Republican victory and expected the two administrations to differ considerably. In such cases, resolving uncertainty about the election outcome can outweigh the greater uncertainty associated with the opposing party's administration. Conversely, uncertainty may *rise* when Democrats were confident that Harris would win or expected similar outcomes under the two administrations, since there is relatively little election-related uncertainty to resolve. It also rises when the outcome lowers their confidence enough, $\kappa_D > 1$. Uncertainty *remains unchanged* when these forces exactly offset, so that the gain from knowing who governs is matched by the cost of facing the other party's administration. Thus, the model allows for heterogeneous uncertainty responses among Democrats, including increases, decreases, and no change. This flexibility is consistent with the empirical finding that Democrats' average uncertainty declines much less than Republicans' and may remain approximately unchanged.

Taken together, A1 and A2 account for the revisions of point forecasts, A3 for the

[9] By (7), a Democrat's uncertainty falls, stays unchanged, or rises as

$$p_i(1-p_i)\,\delta_i^2 \gtrless (1-p_i)\big(\sigma_{i,\text{out}}^2 - \sigma_{i,\text{own}}^2\big) + (\kappa_D - 1)\,\sigma_{i,\text{out}}^2.$$

If $\kappa_D = 1$, dividing by $1-p_i$ gives $p_i\,\delta_i^2 \gtrless \sigma_{i,\text{out}}^2 - \sigma_{i,\text{own}}^2$. As $p_i \to 0$, the left-hand side vanishes and uncertainty rises unless $\kappa_D < 1$. As $p_i \to 1$, the first two terms vanish and the sign is that of $\kappa_D - 1$.

asymmetric response of disagreement, and A3 and A4 for the asymmetric response of uncertainty.

4 Synthetic AI Survey

A growing literature proposes using large language models to simulate survey respondents, raising the possibility that AI-generated personas could complement or even substitute for costly surveys of macroeconomic expectations (Wu et al. 2025; Lin et al. 2026). Our setting offers a demanding test of this possibility. Because we observe how the same individuals updated their beliefs in real time, we can assess whether synthetic personas reproduce not only the direction of partisan updating but also its magnitude and second-moment features. To this end, we evaluate three LLMs: GPT-5.1, Claude Sonnet 4.6, and Gemini 3.1 Pro Preview, selected because they were among the most advanced and widely used models at the time of writing, while also accounting for their knowledge cutoff dates.

4.1 Knowledge Cutoff

As emphasized by Sekhposyan et al. (2026), even when researchers use prompts to create pseudo out-of-sample environments for LLM models, these models may still draw on information beyond what the prompt specifies when forming forward-looking expectations. For instance, consider a model with a knowledge cutoff date of October 2025 that is explicitly instructed to forecast using only data available through November 2, 2024. Despite this instruction, the model may be influenced by macroeconomic data learned during its training period, rendering the information conditioning ineffective. As Sekhposyan et al. (2026) demonstrate, such information can be "inadvertently accessed or internalized" during the forecasting process.

Although we employed conditioning prompts in both survey waves, we took additional precautions in model selection. Our human survey was conducted on November 2nd and 6th, 2024, allowing us to examine how respondents revise their forecasts in response to events occurring between these dates. To replicate this environment with AI agents, we provided election outcomes through conditioning prompts and selected models with knowledge cutoff dates that minimize information leakage concerns. Specifically, GPT-5.1, with a knowledge cutoff of September 2024, operates in an information environment nearly identical to that of human respondents prior to receiving our prompts, making it

our preferred baseline model.[10] Additionally, we include Claude Sonnet 4.6 and Gemini 3.1 Pro Preview, both with knowledge cutoff dates in 2025 (August and January, respectively), to assess whether our findings generalize across model providers.[11] Because these models likely internalized post-election information during training, our conditioning prompts may be less effective at controlling their information environment, raising potential information leakage concerns. Nevertheless, including them serves two purposes. First, it allows us to assess whether the qualitative patterns we document generalize across model providers. Second, comparing them with GPT-5.1 indicates how much access to post-election information alters simulated expectations. For the same reason, differences in performance between these models and GPT-5.1 should not be read as differences in their ability to simulate household belief formation.

While knowledge cutoff dates are based on official announcements by LLM providers, these disclosures may not always be precise. Continuous model updates and reporting lags mean that the effective information boundary of a given model may differ from its stated cutoff. To verify the information environment of each model, we conducted a series of litmus tests by directly querying each model with three prompts: (1) its self-reported knowledge cutoff date, (2) the winner of the 2024 U.S. Presidential Election and the identity of the Democratic Vice Presidential candidate, and (3) the outcome of the February 2025 German federal election. The specific prompts and model responses are provided in Appendix C.[12]

4.2 Experiment and Results

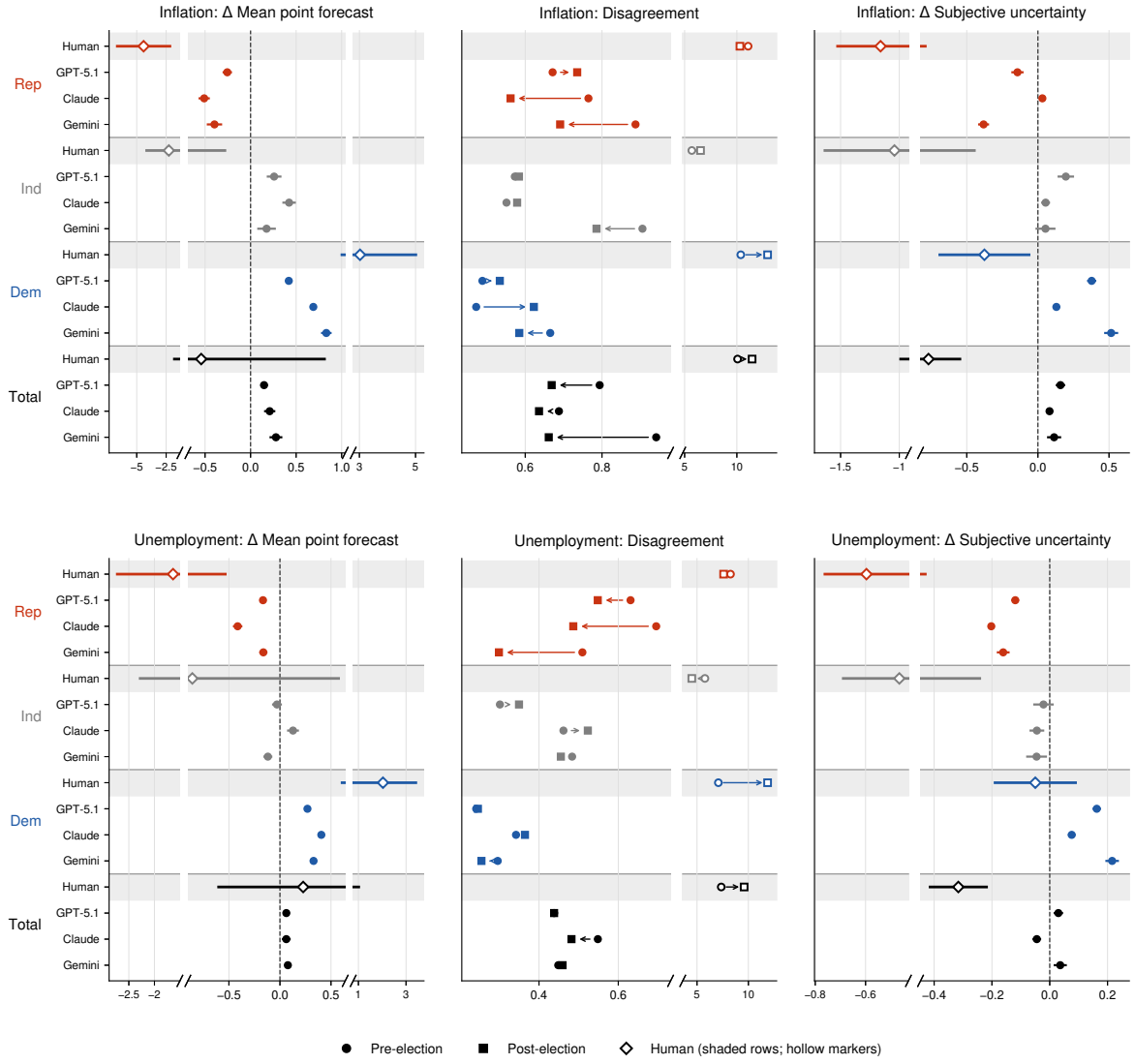
All LLMs are run under their default settings using Expected Parrot.[13] This choice is intended to capture the outputs that typical users would encounter under standard, off-the-shelf configurations rather than under researcher-optimized prompting or tun-

[10] See "GPT-5.1," accessed March 29, 2026, https://developers.openai.com/api/docs/models/gpt-5.1.

[11] For Claude Sonnet 4.6, see "Claude Sonnet 4.6" at https://www.anthropic.com/transparency, and for Gemini 3.1 Pro Preview, see https://docs.cloud.google.com/vertex-ai/generative-ai/docs/models/gemini/3-1-pro (both accessed March 29, 2026).

[12] Contrary to Anthropic's official documentation, Claude Sonnet 4.6 states in its response that its training data extends to early 2025 and cautions that finer details in its answer to the third question may be at the edge of its reliable knowledge. When asked about the 97th Academy Awards (Oscars) additionally, held in March 2025, Claude Sonnet 4.6 provided an incorrect answer for Best Actress in a Leading Role, naming Demi Moore instead of Mikey Madison.

[13] Expected Parrot is an open-source platform for running surveys and AI-led interviews and for collecting responses from both humans and AI agents. It also supports administering the same survey simultaneously across multiple LLMs.



Notes: Within each group, the shaded first row (hollow markers) repeats the human values from Figure 3, and the following rows show GPT-5.1, Claude Sonnet 4.6, and Gemini 3.1 Pro Preview. The Δ panels report the average change between post-election and pre-election responses in mean point forecasts and subjective uncertainty; whiskers indicate 95% confidence intervals. The disagreement panels report the cross-sectional standard deviation of point forecasts before the election (circles) and after the election (squares). Each horizontal axis is scaled to the LLM values; where human values fall far outside that range, the axis is broken (//) and the outer segment has its own scale. The categories Rep, Ind, and Dem denote Republicans, Independents, and Democrats (respondents or persona agents); Total refers to the full sample.

Figure 4: Election-Induced Changes in AI Agents' Expectations, Disagreement, and Uncertainty

ing. Such outputs are precisely the type of model-generated content that may diffuse through media, search, and everyday interactions with AI assistants, providing a plausible

channel through which LLM-generated information could shape households' real-world expectations.

We construct respondent-like "personas" designed to mirror our sample along observable characteristics, including state of residence, age, gender, race, family structure, education, income, employment status, political affiliation, news consumption, and expected election winner. Each persona receives two time-stamped prompts aligned with our survey waves. The first is a *pre-election* prompt, fixed at **November 2, 2024**, that rules out hindsight and elicits: (i) a qualitative judgment about inflation versus deflation, (ii) a 12-month point forecast for inflation and unemployment, (iii) a 12-month density forecast for inflation and unemployment. The second is a *post-election* prompt, fixed to the **morning of November 6, 2024**, that permits only information available from next-morning headlines indicating that Donald Trump won the election, reproduces the persona's own pre-election response for continuity, and requests the same set of outputs. Both prompts use neutral wording, restrict knowledge to what a typical U.S. resident might plausibly know on the stated date, and impose a strict plain-text response schema to facilitate parsing. The full prompts are reproduced in Appendix D.

Direction of Forecast Revisions In Figure 4, for both inflation and unemployment point forecasts, Democrat-persona AI agents revise their forecasts upward, mirroring human survey participants' responses. Republican-persona AI agents also successfully reproduce the downward revisions of Republican households. Overall, the LLM models successfully capture the opposing directions of forecast revisions across both macroeconomic variables. Independents are the exception: human Independents revise their inflation forecasts down by about 2.3 percentage points, whereas Independent-persona agents revise them up in all three models. As a result, the aggregate inflation forecast falls among human respondents but rises in every model. The magnitudes, however, are much smaller than in the human data, and the levels differ: personas expected unemployment of about 4-5%, compared with about 7% among human respondents (Table 3). One notable feature of the AI-generated responses is that simulated forecasts never fall below zero (that is, no AI agent predicts deflation) whereas human respondents occasionally do. Among the 399 human forecasters of interest, 88 reported deflation expectations in the first survey wave and 126 in the second. We suspect that this reflects LLMs' tendency to learn aggregate-level forecasts and historically realized inflation data, both of which are predominantly positive.

Partisan Asymmetries in Disagreement Synthetic respondents disagree far less than human respondents. In every model and persona group, the cross-sectional standard deviation of inflation point forecasts is below one percentage point, compared with about 6 to 11 percentage points among human respondents (Figure 4); the same holds for unemployment forecasts. Within this narrow range, LLM agents reproduce only one part of the partisan asymmetry in disagreement. Among human respondents, dispersion narrows among Republicans and widens among Democrats after the election. Disagreement among Republican-persona agents narrows in all three models for unemployment forecasts, and in Claude Sonnet 4.6 and Gemini 3.1 Pro Preview for inflation forecasts, while it widens slightly in GPT-5.1. The widening among Democrats, however, is clearly reproduced only by Claude Sonnet 4.6, for both variables. In GPT-5.1, disagreement among Democrat-persona agents rises only slightly for inflation and is essentially unchanged for unemployment, and in Gemini 3.1 Pro Preview it narrows for both variables. LLM agents thus capture the convergence of the winning side but, in most models, not the divergence of the losing side. Zarifhonarvar (2026) documents that assigning different demographic profiles induces heterogeneity across demographic groups, but does not account for political partisanship. Our findings show that partisan heterogeneity, and in particular within-group forecast dispersion, is not reliably reproduced by LLM agents, consistent with the evidence that synthetic responses are too concentrated (Bisbee et al. 2024).

Partial Replication of Subjective Uncertainty The right-hand panels of Figure 4 report changes in subjective uncertainty, measured as in Figure 3. In every model and for both variables, the change in subjective uncertainty is lower for Republican-persona agents than for Democrat-persona agents, consistent with the direction of the partisan gap in human surveys. Beyond this ordering, however, the AI-generated responses deviate from human survey evidence in three respects. First, the decline in uncertainty among Republican households is reproduced only partially. All three models generate a decline in unemployment uncertainty for Republican-persona agents, and GPT-5.1 and Gemini 3.1 Pro Preview do so for inflation uncertainty, whereas Claude Sonnet 4.6 yields a small but statistically significant increase. Where the decline is reproduced, it is considerably smaller than among human Republicans. Second, Democrat-persona agents become more uncertain about both inflation and unemployment in all models. By contrast, human Democrats show a statistically significant decline in inflation uncertainty and no significant change in unemployment uncertainty. Third, as a result, aggregate inflation

uncertainty rises in all three models, whereas it falls among human respondents. LLM agents thus capture the relative position of the two parties, but not the general decline in uncertainty once the electoral outcome is resolved.

Robustness Across Runs Because LLM outputs are stochastic, a single simulation run cannot distinguish systematic model behavior from sampling variability. We therefore repeat the experiment for Claude Sonnet 4.6 and Gemini 3.1 Pro Preview under identical settings (same prompts and temperature) and report both runs side by side in Figure E.1 in Appendix E. The first-moment results replicate: in both models and both runs, Democrat-persona agents revise their inflation and unemployment forecasts upward, while Republican-persona agents revise them downward. The second-moment results also replicate, including their departures from the human data. Disagreement narrows among Republican-persona agents in both models, but widens among Democrat-persona agents only in Claude Sonnet 4.6; in Gemini 3.1 Pro Preview it narrows for both parties in both runs. For subjective uncertainty, both models again raise Democrat-persona uncertainty for both variables, contrary to the human data, and Claude Sonnet 4.6 again fails to reproduce the decline in Republicans' inflation uncertainty. Overall, the second run confirms that LLMs reproduce the partisan direction of point-forecast revisions, whereas their ability to reproduce second-moment responses varies across models and is weakest for subjective uncertainty.

To quantify how closely the forecasts generated by synthetic personas resemble those of human respondents, we use the *Concordance Correlation Coefficient* (CCC), computed between each persona and the human respondent whose characteristics it mirrors. Unlike a simple correlation coefficient, the CCC captures both *precision* and *accuracy*, and therefore provides a natural metric for evaluating the extent to which AI-generated responses agree with human responses in levels rather than merely co-move with them.

Formally, for a given outcome variable, let H denote the corresponding human response and AI the response generated by the synthetic persona. The CCC is defined as

$$\rho_c = \frac{2\rho\sigma_H\sigma_{AI}}{\sigma_H^2 + \sigma_{AI}^2 + (\mu_H - \mu_{AI})^2}, \tag{8}$$

where μ_H and μ_{AI} denote the means of the human and AI-generated responses, σ_H^2 and σ_{AI}^2 their variances, and ρ the Pearson correlation between H and AI. The coefficient takes values in $[-1, 1]$, with larger values indicating greater agreement between synthetic

and human responses.

[Table 3 about here.]

We compute the CCC separately for inflation and unemployment expectations, and for each of the key measures in our survey. In particular, we compare *prior* beliefs, *posterior* beliefs, and *revisions*, where revisions are defined as the change between posterior and prior responses. We also evaluate agreement in respondents' subjective uncertainty. This approach allows us to assess whether synthetic personas resemble humans not only in the levels of their forecasts, but also in how they update their beliefs and express uncertainty in response to new information. The results are presented in Table 3.

We find that the CCC values are generally low, suggesting that, at the individual level, LLMs are limited in their ability to replicate human behavior. This pattern appears to reflect an important difference in dispersion: human forecasts cover a wide range, whereas LLM-generated forecasts are concentrated within a much narrower interval. The cross-sectional standard deviation of inflation point forecasts is below one percentage point for every model and persona group, compared with about 6 to 11 percentage points among human respondents (Figure 4). In the case of inflation expectations, human respondents report both inflationary and deflationary outcomes, while LLM forecasts remain concentrated in a narrow inflationary range.

More importantly, LLMs mostly fail to capture the dynamics of subjective uncertainty. This is a key limitation, because replicating human expectations requires matching not only the central tendency of beliefs but also the evolution of confidence surrounding those beliefs. The inability of LLMs to reproduce this dimension suggests that they do not fully capture the underlying process by which individuals form and update expectations.

We also evaluate the extent to which LLMs replicate the direction of human forecast revisions. Specifically, we compare whether the LLM and the corresponding human respondent revise their forecasts in the same direction after receiving the same information. The share of directionally matched revisions ranges from 44% to 57% across models, compared with 34% to 48% expected by chance. The excess over chance is 10 to 15 percentage points for point forecasts but only 1 to 6 percentage points for inflation uncertainty. LLMs thus capture some qualitative features of human belief updating, but only modestly, and least for uncertainty. Thus, while LLMs may reproduce certain aggregate patterns, they do not consistently match the direction of individual-level forecast revisions.

Across models, Claude Sonnet 4.6 or Gemini 3.1 Pro Preview attains the highest revision CCC in each panel, although the differences are small and GPT-5.1 matches the direction

of point-forecast revisions more often than Gemini 3.1 Pro Preview. Consistent with the caveat in Section 4.1, this modest advantage may reflect access to post-election information rather than better simulation of household belief formation.

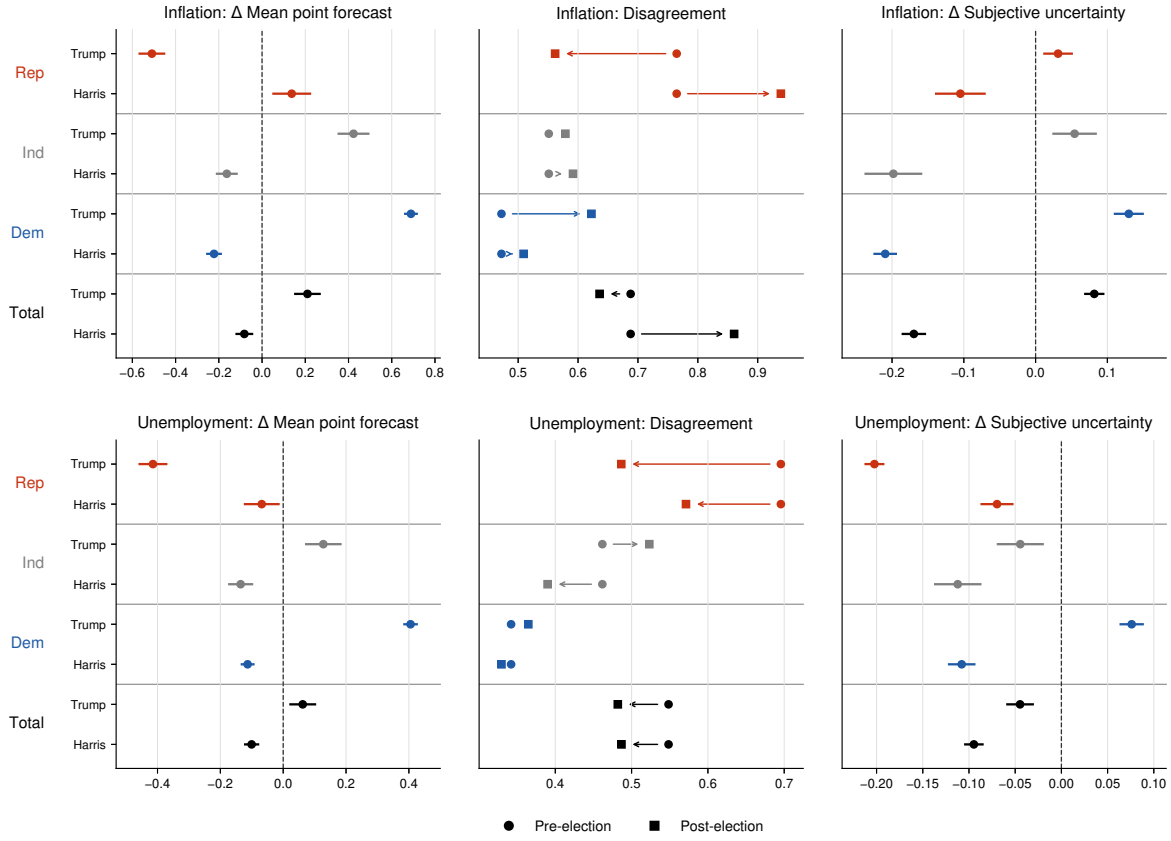
5 LLM: Counterfactual

As an additional test, we conduct a counterfactual exercise in which we reverse the outcome of the 2024 election and assume that Harris wins instead of Trump. This exercise assesses whether the LLM can reason through a hypothetical scenario or merely reproduces patterns embedded in its training data. We use Claude Sonnet 4.6, whose training data likely include the realized outcome; its performance under the Trump-victory scenario may therefore partly reflect memorization, which makes the counterfactual a particularly informative test.

Figure 5 compares the two scenarios. The Trump-victory scenario serves as a benchmark and mirrors our earlier findings: synthetic Republicans revise inflation and unemployment expectations downward, synthetic Democrats revise them upward, and disagreement declines among Republicans but rises among Democrats, although the synthetic forecasts remain far less dispersed than human forecasts.

The Harris-victory counterfactual produces more mixed results. For inflation point forecasts, the direction of revisions reverses: synthetic Democrats revise inflation expectations downward, while synthetic Republicans revise them upward. Inflation disagreement, however, rises in both groups rather than declining among Democrats. Unemployment expectations are not a mirror image of the benchmark either: point forecasts decline in all three groups, including Republicans, and disagreement declines among Republicans while remaining nearly unchanged among Democrats. Subjective uncertainty is similarly inconsistent. Aggregate inflation uncertainty rises under the Trump-victory scenario, contrary to the human data, and falls under the Harris-victory counterfactual, whereas aggregate unemployment uncertainty declines under both.

Overall, the model reproduces the partisan direction of inflation point forecasts — the dimension of expectation formation best documented in the literature — but provides a less consistent account of disagreement, subjective uncertainty, and counterfactual updating. Synthetic personas may thus be useful for qualitative exploration but remain limited as substitutes for human survey respondents.



Notes: The figure shows how inflation and unemployment beliefs of synthetic respondent (generated using Claude Sonnet 4.6) changed after the election across political affiliation groups. We consider two cases: (1) Trump victory (true) and (2) Harris victory. The Δ panels report the average change between post-election and pre-election responses in mean point forecasts and subjective uncertainty; whiskers indicate 95% confidence intervals. The disagreement panels report belief dispersion in levels, measured as the cross-sectional standard deviation before the election (circles) and after the election (squares). The categories Rep, Ind, and Dem denote Republicans, Independents, and Democrats, respectively; Total refers to the full sample.

Figure 5: Counterfactual Exercise

6 Conclusion

This paper presents a high-frequency panel survey that allows us to study not only the well-documented partisan revision of inflation expectations following a change in political regime, but also the joint dynamics of inflation and unemployment expectations, together with changes in uncertainty and disagreement, both of which matter for real economic outcomes. We also examine whether AI personas can replicate the complex patterns observed in human respondents and whether they can be used for counterfactual

exercises.

We find noticeable partisan revisions in point forecasts, although these revisions largely offset each other at the aggregate level. Second moments, by contrast, shift even at the aggregate level. Republicans become markedly more confident in their forecasts, whereas Democrats' uncertainty declines much less; disagreement narrows among Republicans but widens among Democrats. LLM-generated personas fail to replicate these patterns quantitatively, partly because their forecasts are far less dispersed than those of human respondents. All three models reproduce the partisan direction of point-forecast revisions, and most reproduce the narrowing of disagreement among Republicans. However, none reproduces the overall decline in inflation uncertainty, and only one clearly reproduces the widening of disagreement among Democrats. At the individual level, the models match the direction of forecast revisions in 44 to 57 percent of cases, only modestly more often than chance.

Our findings show that politically salient events are an important determinant of households' subjective uncertainty. Even when partisan revisions in point forecasts offset each other and leave aggregate expectations stable, the election outcome reshapes how confidently households hold their forecasts, and does so asymmetrically across partisan groups. This matters for policymakers, and central banks in particular, because uncertainty and disagreement affect household spending and the transmission of monetary policy independently of mean expectations. Stable aggregate point forecasts may therefore mask important shifts in the distribution and precision of beliefs, and monitoring second moments is important for assessing whether expectations remain anchored after politically salient events. Our results also suggest that central bank communication may need to account for divergent partisan interpretations of the same event, since these shape not only the level of expectations but also the confidence with which households hold them.

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Table 1: Prior and Posterior Macroeconomic Beliefs by Political Affiliation

		Mean forecast			Disagreement		Uncertainty		
Group	*N*	Prior	Post.	Rev.	Prior	Post.	Prior	Post.	Rev.
Panel A. Inflation expectations									
Rep.	145	3.93	−0.49	−4.42	11.07	10.29	4.56	3.40	−1.16
Ind.	65	4.70	2.44	−2.27	5.69	6.52	4.47	3.43	−1.04
Dem.	189	2.30	5.33	3.02	10.38	12.94	3.53	3.15	−0.38
Total	399	3.29	2.74	−0.54	10.07	11.46	4.05	3.29	−0.77
Panel B. Unemployment expectations									
Rep.	145	7.83	6.19	−1.64	8.26	7.59	2.06	1.47	−0.60
Ind.	65	6.78	5.93	−0.86	5.77	4.49	1.96	1.50	−0.47
Dem.	189	6.34	8.37	2.03	7.08	11.87	1.62	1.57	−0.05
Total	399	6.95	7.18	0.23	7.36	9.59	1.84	1.52	−0.32

Notes: The table reports mean point forecasts, disagreement, and subjective uncertainty before (Prior) and after (Post.) the election, in percent. Rev. is the mean within-respondent revision, posterior minus prior. Disagreement is the cross-sectional standard deviation of point forecasts within each group. Uncertainty is the mean respondent-level standard deviation of the density forecast. Democrats and Republicans include independents who lean toward the party.

Table 2: OLS Regressions: Forecast and Subjective Uncertainty Revisions

	Inflation			Unemployment		
	(1)	(2)	(3)	(4)	(5)	(6)
Panel A. Point forecast revisions						
Constant	−4.250**	−6.642**	−6.043*	−1.721**	−5.406**	−5.227**
	(0.665)	(2.547)	(2.595)	(0.433)	(1.631)	(1.655)
Surprise | Unsure/Other	3.578**	3.517**	0.152	1.703*	1.766*	−0.517
	(1.269)	(1.308)	(2.374)	(0.827)	(0.844)	(1.532)
Surprise | Kamala Harris	2.943**	2.679*	1.201	1.926**	1.793*	2.161
	(1.054)	(1.077)	(2.036)	(0.687)	(0.696)	(1.313)
Democrat	3.761**	3.943**	2.652	1.395*	1.706*	1.469
	(1.076)	(1.099)	(1.657)	(0.701)	(0.713)	(1.071)
Independent	−0.092	0.225	−1.577	−0.246	0.286	−0.526
	(1.237)	(1.280)	(1.857)	(0.806)	(0.826)	(1.202)
Surprise | Unsure/Other × Democrat			4.589			2.557
			(3.185)			(2.057)
Surprise | Kamala Harris × Democrat			2.402			−0.286
			(2.591)			(1.673)
Surprise | Unsure/Other × Independent			5.803			3.941
			(3.355)			(2.176)
Surprise | Kamala Harris × Independent			3.012			0.031
			(3.104)			(2.013)
R-squared	0.131	0.158	0.166	0.078	0.116	0.125
Panel B. Subjective uncertainty revisions						
Constant	−1.135**	−1.365	−1.456*	−0.555**	0.208	0.162
	(0.188)	(0.708)	(0.725)	(0.079)	(0.299)	(0.304)
Surprise | Unsure/Other	0.152	0.077	0.293	−0.126	−0.155	−0.131
	(0.359)	(0.364)	(0.663)	(0.151)	(0.155)	(0.282)
Surprise | Kamala Harris	−0.102	−0.234	−0.066	−0.046	−0.054	−0.137
	(0.298)	(0.300)	(0.569)	(0.126)	(0.128)	(0.241)
Democrat	0.779*	0.904**	1.241**	0.533**	0.512**	0.652**
	(0.305)	(0.306)	(0.463)	(0.128)	(0.131)	(0.197)
Independent	0.104	0.274	0.127	0.155	0.123	−0.111
	(0.350)	(0.356)	(0.519)	(0.147)	(0.152)	(0.221)
Surprise | Unsure/Other × Democrat			−0.578			−0.300
			(0.889)			(0.378)
Surprise | Kamala Harris × Democrat			−0.509			−0.067
			(0.724)			(0.308)
Surprise | Unsure/Other × Independent			−0.044			0.336
			(0.937)			(0.400)
Surprise | Kamala Harris × Independent			0.212			0.400
			(0.867)			(0.370)
Control variables	No	Yes	Yes	No	Yes	Yes
R-squared	0.027	0.090	0.092	0.065	0.094	0.102
Obs	399	399	399	399	399	399

Notes: Standard errors are reported in parentheses. Dependent variables are post-election minus pre-election point forecasts (Panel A) and subjective uncertainty, the standard deviation of the density forecast (Panel B), winsorized at the 2.5th and 97.5th percentiles. Control variables are age group, gender, personal income group, education group, household size, race, cognitive ability group, and the absolute error in the respondent's perception of the current rate of the forecast variable (inflation or unemployment). Columns (3) and (6) add interactions between the surprise indicators and political affiliation. The omitted political-affiliation category is Republican, and the omitted surprise category is respondents who expected Trump's victory. * and ** indicate significance at the 5 percent and 1 percent levels, respectively.

Table 3: LLM vs. Human Forecasts and Revisions

	Mean			CCC			Revision		
	Prior	Post.	Rev.	Prior	Post.	Rev.	r	SD ratio	Match
Panel A. Point inflation									
Human respondents	3.29	2.74	−0.54						
GPT-5.1	4.29	4.44	0.15	0.001	−0.010	0.010	0.16	0.03	49% (38%)
Claude Sonnet 4.6	4.10	4.31	0.21	−0.002	0.004	0.021	0.23	0.05	54% (43%)
Gemini 3.1 Pro Preview	3.62	3.90	0.28	0.002	0.002	0.021	0.20	0.05	46% (36%)
Panel B. Inflation uncertainty									
Human respondents	4.05	3.29	−0.77						
GPT-5.1	3.97	4.13	0.16	0.079	0.015	0.026	0.11	0.14	45% (41%)
Claude Sonnet 4.6	4.24	4.32	0.08	0.045	0.010	0.009	0.08	0.06	44% (43%)
Gemini 3.1 Pro Preview	3.02	3.14	0.11	0.106	0.013	0.052	0.14	0.22	48% (42%)
Panel C. Point unemployment									
Human respondents	6.95	7.18	0.23						
GPT-5.1	4.65	4.71	0.06	0.008	0.012	0.012	0.19	0.03	52% (39%)
Claude Sonnet 4.6	4.75	4.82	0.06	0.016	0.014	0.022	0.21	0.05	57% (41%)
Gemini 3.1 Pro Preview	4.17	4.24	0.08	0.004	0.017	0.018	0.25	0.04	47% (34%)
Panel D. Unemployment uncertainty									
Human respondents	1.84	1.52	−0.32						
GPT-5.1	2.26	2.29	0.03	0.030	0.014	0.055	0.19	0.16	55% (46%)
Claude Sonnet 4.6	2.12	2.08	−0.04	0.061	0.033	0.045	0.17	0.15	57% (48%)
Gemini 3.1 Pro Preview	1.43	1.46	0.04	0.076	0.016	0.093	0.24	0.22	53% (43%)

Notes: The table compares synthetic respondents generated by each LLM with the human respondents they were constructed from; each persona is matched to its human counterpart. Panels A and C report 12-month point forecasts; Panels B and D report subjective uncertainty, measured as the standard deviation of the density forecast. Prior refers to the pre-election survey wave (November 1–2, 2024) and the corresponding pre-election prompt; posterior refers to the post-election wave (November 6, 2024) and prompt; revisions are posterior minus prior. *Mean* reports averages across respondents or personas. *CCC* is Lin's concordance correlation coefficient between each persona and its human counterpart, $\text{CCC} = 2\sigma_{LH}/(\sigma_L^2 + \sigma_H^2 + (\mu_L - \mu_H)^2) = r \times C_b$, where r is the Pearson correlation and $C_b \leq 1$ penalizes differences in mean and dispersion; CCC equals 1 only if LLM and human responses coincide. Under *Revision, r* is the Pearson correlation between LLM and human revisions, *SD ratio* is the standard deviation of LLM revisions divided by that of human revisions, and *Match* is the share of persona–respondent pairs whose revisions have the same sign (up, down, or no change); the share expected by chance, $\sum_s p_s^L p_s^H$, where p_s is the frequency of sign s, is in parentheses. Data are not winsorized.

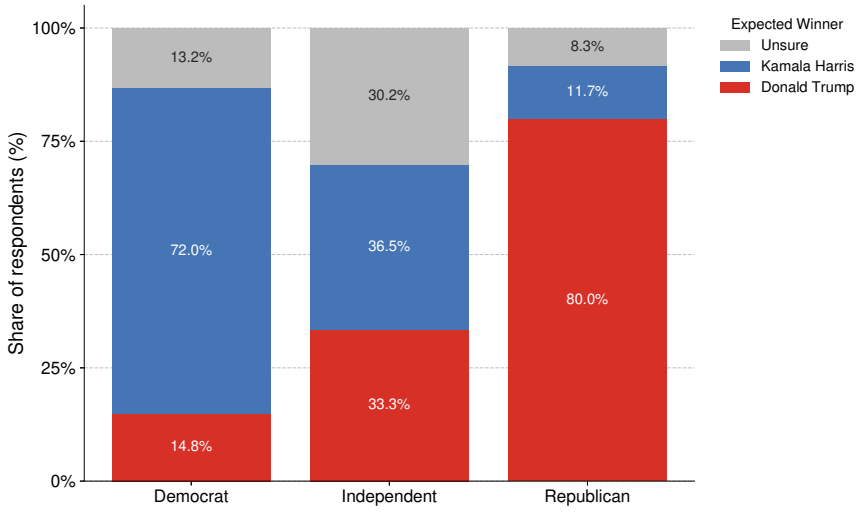
Appendices

A Tables and Figures

Table A1: Demographic Characteristics of Respondents

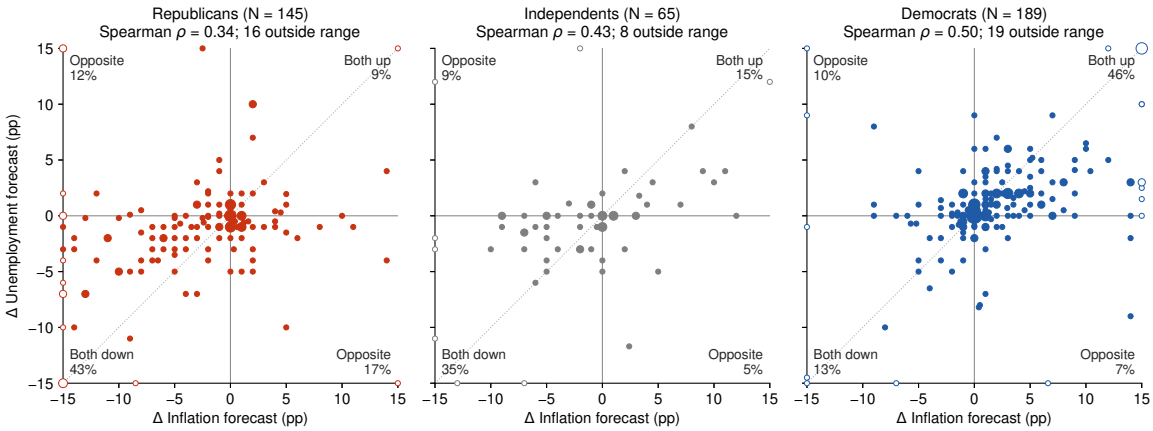
	Democrats ($N = 189$)	Republicans ($N = 145$)	Independents ($N = 65$)	Total ($N = 399$)
Age				
Under 40	34.4	25.5	50.8	33.8
40–60	42.9	44.8	30.8	41.6
Over 60	22.8	29.7	18.5	24.6
Gender				
Female	49.7	41.4	46.2	46.1
Male	49.2	57.9	50.8	52.6
Non-binary / third gender	1.1	0.7	3.1	1.3
Race				
White	65.6	75.2	67.7	69.4
Non-white or multiracial	34.4	24.8	32.3	30.6
Education				
High school or less	10.6	15.9	18.5	13.8
Some college, no degree	24.3	15.9	23.1	21.1
Associate degree or higher	65.1	68.3	58.5	65.2
Income				
Under $50k	50.8	40.7	50.8	47.1
$50k–$100k	27.5	42.8	36.9	34.6
Over $100k	21.7	16.6	12.3	18.3

Notes: The table presents the demographic characteristics of our sample by political affiliation. Each group includes both respondents who strongly identify with the party and independents who lean toward it.



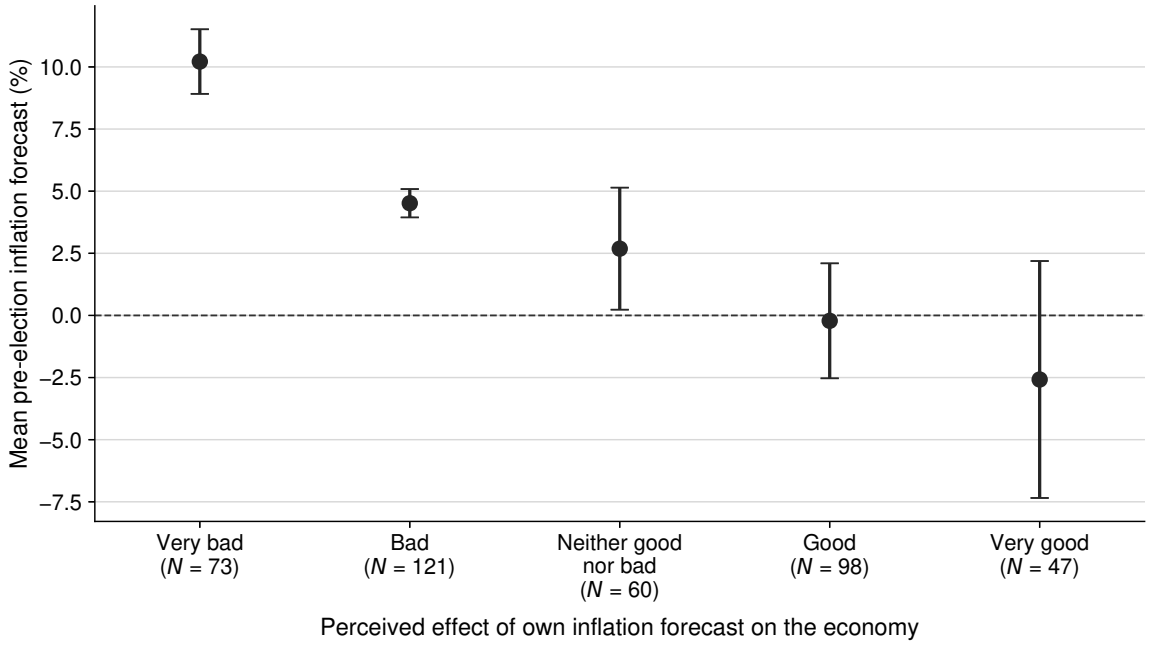
Notes: In the first wave, respondents were asked, "Who do you believe will win the upcoming U.S. presidential election?" The figure shows the distribution of responses across political groups. Each group includes both respondents who strongly identify with the party and independents who lean toward it. A negligible number of observations selecting another candidate were excluded.

Figure A.1: Perceived Election Outcome by Political Affiliation



Notes: Each panel plots respondents' post-election minus pre-election revision of the 12-month-ahead point forecast of unemployment (Δu_i) against that of inflation ($\Delta \pi_i$), in percentage points. Marker area is proportional to the number of respondents reporting the same pair of revisions. Axes are truncated at ±15 percentage points; respondents outside this range are shown as open markers on the border, and their number is reported in the panel title. Corner labels give the share of each group whose revisions fall in the corresponding quadrant; respondents who leave one or both forecasts unchanged lie on the axes, so the four shares sum to less than 100 percent. ρ is the Spearman rank correlation between $\Delta \pi_i$ and Δu_i (all $p < 0.001$). The dotted line is the 45-degree line.

Figure A.2: Individual Comovement of Inflation and Unemployment Revisions



Notes: The figure displays mean prior point inflation forecasts by respondents' perception of their forecast's favorability for the economy, with 95% confidence intervals. Respondents were asked how favorable different ranges of inflation are for the economy, and their own forecasts were matched to the corresponding category. Notably, the deflationary category covered only the range of 1–2% deflation, so all deflationary point forecasts were assigned to this category.

Figure A.3: Perception of Inflation Forecast

B Derivations for Section 3

Throughout, R wins ($w = R$), so Republicans are the winners and Democrats the losers; "own" is R for Republicans and D for Democrats, and (3) reads $x^e_{i,\text{post}} = x_{iR}$, $\sigma^2_{i,\text{post}} = \kappa_g \sigma^2_{iR}$. Under A2–A3 the scenario means are $x_{iR} = \bar{x}_R$, $x_{iD} = \bar{x}_R + \delta_i$ for Republicans, and $x_{iR} = \bar{x}_D + \delta_i$, $x_{iD} = \bar{x}_D$ for Democrats, so that $d_i = x_{iR} - x_{iD} = -\delta_i$ and $+\delta_i$, respectively.

A.1 Pre-election mean and variance, equation (2). Treat the administration as a random variable a with $\Pr(a = R) = p_i$. By the law of iterated expectations, the point forecast is the probability-weighted average of the scenario means,

$$x^e_{i,\text{pre}} = \mathbb{E}\big[\mathbb{E}_i[x \mid a]\big] = p_i\, x_{iR} + (1 - p_i)\, x_{iD}.$$

By the law of total variance, uncertainty is the average uncertainty within the two scenarios plus the variance of the scenario means across them,

$$\sigma^2_{i,\text{pre}} = \mathbb{E}\big[\text{Var}_i(x \mid a)\big] + \text{Var}\big(\mathbb{E}_i[x \mid a]\big) = p_i\,\sigma^2_{iR} + (1-p_i)\sigma^2_{iD} + p_i(1-p_i)\,d_i^2,$$

where the last term is the variance of a variable that equals x_{iR} with probability p_i and x_{iD} with probability $1-p_i$.

A.2 Revisions of the point forecast and of uncertainty, equations (4) and (6). Once R is known to have won, the probability of scenario R is one, so the belief becomes the R scenario (A1). For the point forecast,

$$\Delta x_i^e = x_{iR} - p_i\,x_{iR} - (1-p_i)\,x_{iD} = (1-p_i)(x_{iR} - x_{iD}) = (1-p_i)\,d_i,$$

and substituting $d_i = \mp\delta_i$ gives (4). Since $1-p_i \geq 0$ and $\delta_i > 0$ for both variables, the sign depends only on party and is the same for inflation and unemployment. For uncertainty, subtract (2) from (3) and write $\kappa_g\sigma^2_{iR} = (\kappa_g - 1)\sigma^2_{iR} + \sigma^2_{iR}$:

$$\Delta\sigma_i^2 = (\kappa_g - 1)\sigma^2_{iR} + \big[\sigma^2_{iR} - p_i\sigma^2_{iR} - (1-p_i)\sigma^2_{iD}\big] - p_i(1-p_i)d_i^2,$$

and the bracket equals $(1-p_i)(\sigma^2_{iR} - \sigma^2_{iD})$. By A3, $\sigma^2_{iR} = \sigma^2_{i,\text{own}} \leq \sigma^2_{iD}$ for Republicans and $\sigma^2_{iR} = \sigma^2_{i,\text{out}} \geq \sigma^2_{iD}$ for Democrats, so the switch term is non-positive for Republicans and non-negative for Democrats. Substituting $d_i^2 = \delta_i^2$ and, for Republicans, $\sigma^2_{iR} = \sigma^2_{i,\text{own}}$, $\sigma^2_{iD} = \sigma^2_{i,\text{out}}$, $\kappa_g = \kappa_R$ gives

$$\Delta\sigma_i^2 = -p_i(1-p_i)\delta_i^2 + (1-p_i)\big(\sigma^2_{i,\text{own}} - \sigma^2_{i,\text{out}}\big) + (\kappa_R - 1)\sigma^2_{i,\text{own}},$$

which is the first line of (7) after writing the last two terms with a minus sign. For Democrats, $\sigma^2_{iR} = \sigma^2_{i,\text{out}}$, $\sigma^2_{iD} = \sigma^2_{i,\text{own}}$ and $\kappa_g = \kappa_D$, which gives the second line directly. For Republicans, the first term is non-positive, the second is non-positive by A3, and the third is non-positive when $\kappa_R \leq 1$, so $\Delta\sigma_i^2 \leq 0$. For Democrats, the first term is non-positive, but the second is non-negative by A3 and the third is non-negative when $\kappa_D \geq 1$, so the sign is ambiguous. For the same p_i, δ_i and scenario variances, a Democrat's change exceeds a Republican's by $2(1-p_i)\big(\sigma^2_{i,\text{out}} - \sigma^2_{i,\text{own}}\big) + (\kappa_D - 1)\sigma^2_{i,\text{out}} + (1-\kappa_R)\sigma^2_{i,\text{own}}$, which is non-negative under A3–A4 when $\kappa_R \leq 1 \leq \kappa_D$. The first two terms vanish as p_i approaches one, when a Republican victory becomes fully anticipated; only the confidence term is

independent of p_i.

A.3 Disagreement, equation (5). Disagreement is a property of a *group*, not of a household. For party g at a given wave, it is the cross-sectional variance of the point forecasts of the party's members:

$$\text{Disagreement}_g = \text{Var}_{i \in g}\left(x_i^e\right).$$

Below, $\text{Var}(\cdot)$, $\mathbb{E}[\cdot]$ and $\text{Cov}(\cdot,\cdot)$ are taken across the members of one party, and the only sources of difference between members are p_i and δ_i (A3).

Step 1: each member's point forecast before and after, Republicans. For a Republican, the own party is R, so by A2–A3 $x_{iR} = \bar{x}_R$ and $x_{iD} = \bar{x}_R + \delta_i$. Substituting into (2) and (3):

$$\begin{aligned} x^e_{i,\text{pre}} &= p_i\,\bar{x}_R + (1-p_i)\left(\bar{x}_R + \delta_i\right) = \left[p_i + (1-p_i)\right]\bar{x}_R + (1-p_i)\,\delta_i = \bar{x}_R + (1-p_i)\,\delta_i, \\ x^e_{i,\text{post}} &= x_{iR} = \bar{x}_R. \end{aligned}$$

Step 2: each member's point forecast before and after, Democrats. For a Democrat, the own party is D, so $x_{iD} = \bar{x}_D$ and $x_{iR} = \bar{x}_D + \delta_i$:

$$\begin{aligned} x^e_{i,\text{pre}} &= p_i\left(\bar{x}_D + \delta_i\right) + (1-p_i)\,\bar{x}_D = \bar{x}_D + p_i\,\delta_i, \\ x^e_{i,\text{post}} &= x_{iR} = \bar{x}_D + \delta_i. \end{aligned}$$

Note the weights: in each pre-election forecast, the disputed part δ_i is multiplied by the probability that the *other* party wins: $1-p_i$ for Republicans and p_i for Democrats.

Step 3: take variances across members. Two rules are used: a constant shared by all members does not affect the variance, $\text{Var}(c+Z) = \text{Var}(Z)$; and the variance of a constant is zero. Since $\bar{x}_g$ is common within party g:

$$\begin{aligned} \text{Republicans:} \quad & \text{Var}\left(x^e_{i,\text{pre}}\right) = \text{Var}\left((1-p_i)\,\delta_i\right), \qquad \text{Var}\left(x^e_{i,\text{post}}\right) = \text{Var}(\bar{x}_R) = 0; \\ \text{Democrats:} \quad & \text{Var}\left(x^e_{i,\text{pre}}\right) = \text{Var}\left(p_i\,\delta_i\right), \qquad \text{Var}\left(x^e_{i,\text{post}}\right) = \text{Var}(\delta_i). \end{aligned}$$

This is (5).

Step 4: Republicans always converge. A variance is never negative, so $\text{Var}\left((1-p_i)\delta_i\right) \geq 0 =$ post-election disagreement. Republicans' disagreement falls (weakly), whatever the distribution of p_i and δ_i.

Step 5: when do Democrats diverge? Democrats' disagreement rises if and only if $\text{Var}(\delta_i) > \text{Var}(p_i\delta_i)$. To see what this requires, assume p_i and δ_i are independent across

losers. Then $\mathbb{E}[p_i\delta_i] = \mathbb{E}[p_i]\mathbb{E}[\delta_i]$ and $\mathbb{E}[p_i^2\delta_i^2] = \mathbb{E}[p_i^2]\mathbb{E}[\delta_i^2]$, so

$$\mathrm{Var}(p_i\delta_i) = \mathbb{E}[p_i^2]\mathbb{E}[\delta_i^2] - \mathbb{E}[p_i]^2\,\mathbb{E}[\delta_i]^2.$$

Using $\mathbb{E}[\delta_i^2] = \mathrm{Var}(\delta_i) + \mathbb{E}[\delta_i]^2$ and $\mathbb{E}[p_i^2] = \mathrm{Var}(p_i) + \mathbb{E}[p_i]^2$,

$$\begin{aligned}\mathrm{Var}(\delta_i) - \mathrm{Var}(p_i\delta_i) &= \mathrm{Var}(\delta_i) - \mathbb{E}[p_i^2]\big(\mathrm{Var}(\delta_i) + \mathbb{E}[\delta_i]^2\big) + \mathbb{E}[p_i]^2\,\mathbb{E}[\delta_i]^2 \\ &= \big(1 - \mathbb{E}[p_i^2]\big)\mathrm{Var}(\delta_i) - \big(\mathbb{E}[p_i^2] - \mathbb{E}[p_i]^2\big)\mathbb{E}[\delta_i]^2 \\ &= \underbrace{\big(1 - \mathbb{E}[p_i^2]\big)\mathrm{Var}(\delta_i)}_{\text{disagreement about the other party}} - \underbrace{\mathrm{Var}(p_i)\,\mathbb{E}[\delta_i]^2}_{\text{disagreement about the outcome}}.\end{aligned}$$

Democrats diverge when the first term exceeds the second: when they disagree enough about how bad the winner will be, relative to how much their election beliefs differed. Two special cases:

- *Common $p_i = p$ within the party.* Then $\mathrm{Var}(p_i) = 0$ and $\mathbb{E}[p_i^2] = p^2$, so the difference is $(1-p^2)\mathrm{Var}(\delta_i) > 0$ whenever $p < 1$: Democrats always diverge. In this case (5) reads $(1-p)^2\mathrm{Var}(\delta_i) \to 0$ for Republicans and $p^2\mathrm{Var}(\delta_i) \to \mathrm{Var}(\delta_i)$ for Democrats.
- *Common $\delta_i = \delta$, different p_i.* Then $\mathrm{Var}(\delta_i) = 0$ and the difference is $-\mathrm{Var}(p_i)\delta^2 < 0$: Democrats converge. Before the election they disagreed only because they put different odds on the outcome; afterwards they all hold the same view of the winner.

Since most Democrats in our sample expected Harris to win, p_i is small and $1 - \mathbb{E}[p_i^2]$ is close to one, which favors the first case.

Step 6: other differences in views of the own party. Suppose own-party views also differ by a household-specific term, $x_{i,\text{own}} = \bar{x}_g + \varepsilon_i$, constant across the two waves and independent of (p_i, δ_i). Repeating Steps 1–2, every forecast gains $+\varepsilon_i$ (for example, a Republican's pre-election forecast becomes $\bar{x}_R + \varepsilon_i + (1-p_i)\delta_i$). Because ε_i is independent of the other terms, every variance in Step 3 gains $+\mathrm{Var}(\varepsilon_i)$: the levels of disagreement rise, but the changes are exactly as before.

C Knowledge Cutoff Verification Prompts

C.1 Prompt 1

- What is your knowledge cutoff date?

C.2 Prompt 2

- Who won the 2024 US presidential election?
- Who were candidates? who was selected as the Democratic Vice Presidential candidate to run?
- Please answer strictly based on your pre-training knowledge without using any external search tools.

C.3 Prompt 3

- What were the results of the German federal election held in February 2025?
- Who was eventually elected as the Chancellor of Germany following this election?
- Please answer strictly based on your pre-training knowledge without using any external search tools.

C.4 LLM Responses (As of March 29, 2026)

GPT-5.1

- Prompt 1

    1. My knowledge cutoff date is **October 2024**

- Prompt 2

    1. As of my pre-training knowledge cutoff in October 2024, the 2024 U.S. presidential election had **not yet taken place** (Election Day is November 5, 2024), so **no winner was known**

2. Based strictly on that pre-training knowledge, the major general-election tickets were:

   - **Democratic Party:** - **Presidential nominee:** Kamala Harris (after Joe Biden withdrew from the race in July 2024) - **Vice-presidential nominee:** **Tim Walz**, Governor of Minnesota

   - **Republican Party:** - **Presidential nominee:** Donald Trump - **Vice-presidential nominee:** J.D. Vance, U.S. Senator from Ohio

   There were also notable third-party/independent candidacies, including: - **Robert F. Kennedy Jr.** with running mate **Nicole Shanahan** - **Jill Stein** (Green Party) - **Cornel West** (independent/third-party), with changing VP picks over time

   To your specific VP question: **Tim Walz was selected as the Democratic vice-presidential candidate** to run with Kamala Harris.

- Prompt 3

1. I don't have any information about a German federal election held in February 2025. My training only goes up to October 2024, and I can't access events or results after that date. As of my last update, the most recent federal election was on 26 September 2021, and the next regular one was expected in 2025 but had not yet taken place.
2. For the same reason, I don't know who was elected Chancellor of Germany following any election in 2025. As of October 2024, Olaf Scholz (SPD) was the serving Chancellor, based on the 2021 election and the subsequent traffic-light coalition (SPD–Greens–FDP).
3. All of the above is based strictly on pre-training knowledge up to October 2024, without using any external search or updated tools.

Claude Sonnet 4.6

- Prompt 1

1. My knowledge cutoff date is early 2025. This means I have information about events, developments, and publications up until that point, but nothing after.

- Prompt 2

1. Winner

   Donald Trump won the 2024 US Presidential Election, defeating the Democratic candidate. He won both the **Electoral College** and the **popular vote**, marking his return to the presidency for a second term.

2. Candidates

   Republican Ticket: - **President:** Donald Trump - **Vice President:** **JD Vance** (Senator from Ohio)

   Democratic Ticket: - **President:** **Kamala Harris** (incumbent Vice President) - **Vice President:** **Tim Walz** (Governor of Minnesota)

   —

   Key Context: - **President Joe Biden** had initially been the Democratic candidate but **withdrew from the race in July 2024**, endorsing Kamala Harris - Kamala Harris then became the Democratic presidential nominee - **Tim Walz** was selected as her Vice Presidential running mate - Trump's victory made him only the **second president in US history** to win non-consecutive terms (after Grover Cleveland)

   —

   This answer is based on my pre-training knowledge, as requested.

- Prompt 3
  The German federal election was held on **February 23, 2025**. The key results were approximately:

  1. - **CDU/CSU (Friedrich Merz)** – 28-29% → **First place**, the clear winner - **AfD (Alice Weidel)** – 20-21% → Second place, a historically strong result for the party - **SPD (Olaf Scholz)** – 16-17% → A significant decline from their previous result - **Greens** – 11-12% - **FDP** – around the 5% threshold (borderline) - **BSW (Sahra Wagenknecht's party)** – around 4-5%

     The CDU/CSU won the most seats, but fell well short of a majority, requiring coalition negotiations.

  2. Chancellor Elected

     Friedrich Merz (CDU) was elected as **Chancellor of Germany** following the election. He led coalition negotiations, most likely forming a government

with the SPD as the primary coalition partner, as the so-called "firewall" against cooperating with the AfD was maintained by mainstream parties.

> **Caveat**: While my training includes information up to early 2025, some finer details of the coalition formation and confirmation vote may be at the edge of my reliable knowledge. Please verify specific figures independently.

Gemini 3.1 Pro Preview

- Prompt 1

  1. **What is your knowledge cutoff date?** My core training data generally includes information up to **early 2024**. However, the exact cutoff date can vary slightly depending on the specific version of the Gemini model you are accessing (e.g., Gemini 1.5 Pro, Gemini 1.5 Flash). For events or developments that occurred after my training period, I will not know about them unless that information is provided to me in the prompt.

- Prompt 2
  Based on my pre-training knowledge, here are the answers to your questions:

  1. **Who won the 2024 US presidential election?** Donald Trump won the 2024 United States presidential election.
  2. **Who were the candidates? Who was selected as the Democratic Vice Presidential candidate?** * **The Candidates:** The major party candidates for president were Donald Trump (Republican) and Vice President Kamala Harris (Democrat), who became the nominee after President Joe Biden withdrew from the race in July 2024. There were also several third-party and independent candidates, including Jill Stein (Green Party), Chase Oliver (Libertarian Party), Cornel West (Independent), and Robert F. Kennedy Jr. (who suspended his independent campaign prior to the election and endorsed Donald Trump). * **Democratic Vice Presidential Candidate:** Tim Walz, the Governor of Minnesota, was selected as the Democratic Vice Presidential candidate to run alongside Kamala Harris. (For context, JD Vance, a US Senator from Ohio, was the Republican Vice Presidential candidate running alongside Donald Trump).

- Prompt 3

1. Based strictly on my pre-training knowledge, I cannot answer these questions. My pre-training data has a knowledge cutoff that precedes the events of February 2025. Therefore, I do not have any information regarding the results of the February 2025 German federal election, nor do I know who was elected as Chancellor following that election.

D LLM Prompts

D.1 Agent instruction and survey prompt structure

For each persona i, the model is assigned a fixed set of traits constructed based on human respondents. These traits include demographic characteristics, family background, political affiliation, employment status, and news consumption behavior. The agent is initialized with the general identity statement

> You are a U.S. survey participant.

together with the following persona-specific fields:

- ID: `{persona_id}`
- State: `{state}`
- Gender: `{gender}`
- Age: `{age}`
- Race: `{race}`
- Family status: `{family_status}`
- Number of kids: `{number_kids}`
- Education level: `{education_level}`
- Income level: `{income_level}`
- Political affiliation: `{political_affiliation}`
- Employment status: `{employment_status}`
- News consumption regularity: `{news_consumption}`
- News types: `{news_type}`

D.2 Pre-election module

Pre-election context block

For the first wave, the following instruction is passed to the model:

> It is November 2, 2024 (three days before the U.S. presidential election).
> Your expectation about who will win the U.S. presidential election is: `{prior_expected_winner}`.
> Respond only with knowledge a typical U.S. resident with these demographics might have by this date.
> Do not use hindsight about the election outcome or future events.
> Answer as if you were a U.S. household with these demographic characteristics.

Pre-election survey questions

Under this pre-election context, each persona answers the following five questions:

1. **Inflation or deflation direction.**
   Prompt:

   > Over the next 12 months, do you think that there will be inflation or deflation? (Note: deflation is the opposite of inflation)

   Response options: Inflation; Deflation (the opposite of inflation).

2. **Inflation/deflation point forecast.**
   Prompt:

   > What do you expect the rate of `{infl_or_defl.answer}` to be over the next 12 months? Please give your best guess (in percentage).

3. **Inflation density forecast.**
   Prompt:

   > We would like you to think about the different things that may happen to inflation over the next 12 months.
   >
   > In your view, what would you say is the percent chance that, over the next 12 months...
   >
   > Bins:
   >
   > - the rate of inflation will be 12% or higher

- the rate of inflation will be between 8% and 12%
- the rate of inflation will be between 4% and 8%
- the rate of inflation will be between 2% and 4%
- the rate of inflation will be between 0% and 2%
- the rate of deflation (opposite of inflation) will be between 0% and 2%
- the rate of deflation (opposite of inflation) will be between 2% and 4%
- the rate of deflation (opposite of inflation) will be between 4% and 8%
- the rate of deflation (opposite of inflation) will be between 8% and 12%
- the rate of deflation (opposite of inflation) will be 12% or higher

The sum of the percent chances assigned to bins must add up to 100.
Return your answer as a JSON object.

4. **Unemployment point forecast.**
   Prompt:

   What do you expect the unemployment rate to be in 12 months? Please give your best guess (in percentage).

5. **Unemployment density forecast.**
   Prompt:

   Now, we would like you to think about the different things that may happen to unemployment over the next 12 months.

   In your view, what would you say is the percent chance that, over the next 12 months...

   Bins:

   - the average unemployment rate will be 10% or more
   - the average unemployment rate will be between 8% and 10%
   - the average unemployment rate will be between 7% and 8%
   - the average unemployment rate will be between 6% and 7%
   - the average unemployment rate will be between 5% and 6%
   - the average unemployment rate will be between 4% and 5%
   - the average unemployment rate will be between 3% and 4%
   - the average unemployment rate will be between 2% and 3%
   - the average unemployment rate will be 2.0% or less

The sum of the percent chances assigned to bins must add up to 100.
Return your answer as a JSON object.

D.3 Post-election module

Post-election context block

For the second wave, the same persona is prompted under the following post-election information set:

It is the morning of November 6, 2024 (the day after the election).
You have seen typical next-morning headlines indicating that Donald Trump won the presidential election.
You have not yet seen detailed policy analysis, market commentary, or expert forecasts.
Your prior expectation about who would win the U.S. presidential election was: `{prior_expected_winner}`.

Respond only with knowledge a typical U.S. resident with these demographics might have by this date.
Do not use hindsight beyond what such a person could know on the morning of November 6, 2024.
Do not use later analyses or future events.

On November 2, 2024, you answered the same survey as follows:

- Inflation or deflation: `{prior_infl_or_defl}`
- Expected inflation/deflation rate: `{prior_inflation_point}`%
- Inflation density forecast: `{prior_inflation_density}`
- Expected unemployment rate: `{prior_unemployment_point}`%
- Unemployment density forecast: `{prior_unemployment_density}`

You may revise both your point forecasts and your density forecasts if your beliefs have changed.

Post-election survey questions

Under this post-election context, the same five questions are administered again:

1. **Updated inflation or deflation direction.**
   Prompt:

   > Over the next 12 months, do you think that there will be inflation or deflation? (Note: deflation is the opposite of inflation)

   Response options: Inflation; Deflation (the opposite of inflation).

2. **Updated inflation/deflation point forecast.**
   Prompt:

   > What do you expect the rate of {`infl_or_defl.answer`} to be over the next 12 months? Please give your best guess (in percentage).

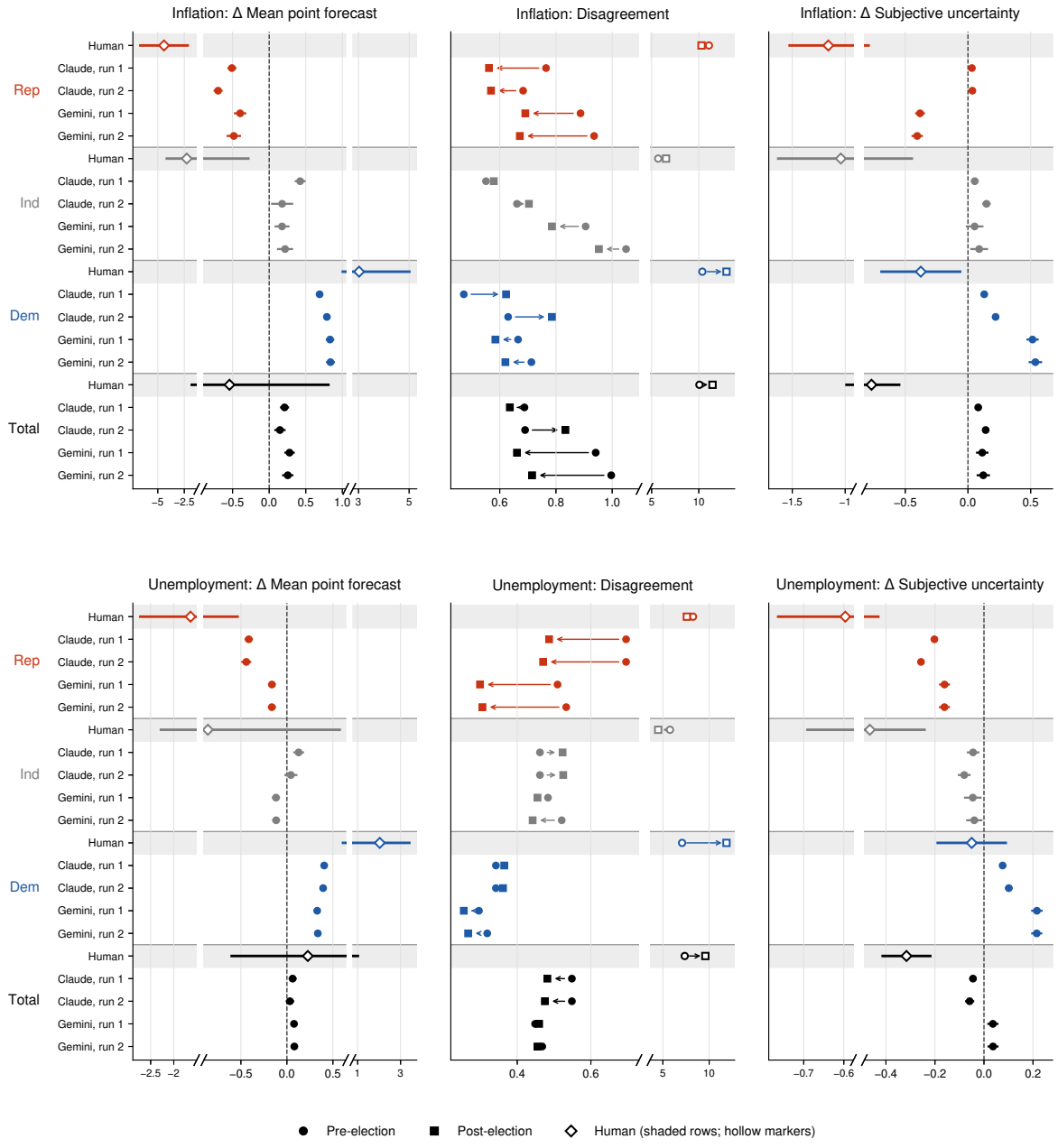
3. **Updated inflation density forecast.**
   Prompt: Same density-forecast prompt as in the pre-election module, with probabilities over inflation and deflation bins constrained to sum to 100 and returned as a JSON object.

4. **Updated unemployment point forecast.**
   Prompt:

   > What do you expect the unemployment rate to be in 12 months? Please give your best guess (in percentage).

5. **Updated unemployment density forecast.**
   Prompt: Same density-forecast prompt as in the pre-election module, with probabilities over unemployment bins constrained to sum to 100 and returned as a JSON object.

E Robustness Check



Notes: Same statistics as Figure 4 for Claude Sonnet 4.6 and Gemini 3.1 Pro Preview, comparing the first run with a second run under identical settings. Shaded rows repeat the human values from Figure 3; broken axes (//) mark outer segments with their own scale. In the second run, one Claude and five Gemini post-election inflation point forecasts are missing.

Figure E.1: Robustness Across LLM Runs

F Online survey

Wave 1 - Nov 1-2, 2024

Prolific_ID

What is your unique Prolific ID?

Introduction

Thank you for agreeing to participate in our survey! We're a research team from Indiana University. We want to learn about your outlook for the future.

This survey will take approximately 20 minutes to complete. For your participation, you will receive $3.00.

Please note that there are no right or wrong answers in this survey – we are interested in your personal views and opinions. Your responses are confidential and it helps us a great deal if you respond as carefully as possible. De-identified data may be shared with the research community to advance scholarly knowledge, ensuring that your identity remains anonymous.

If you have any questions, you may contact the researcher at Indiana University, Sergii Drobot at sdrobot@iu.edu. For questions about your rights as a study participant, contact the Indiana University Human Subjects Office at 800-696-2949 or irb@iu.edu (reference study 17972).

Please select "->" to continue.

Prior Expectations

Looking ahead, do you think you (and any family living with you) will be financially better or worse off **12 months from now** than you are these days?

- ○ Much worse off
- ○ Somewhat worse off
- ○ About the same
- ○ Somewhat better off
- ○ Much better off

In some of the following questions, we will ask you to think about the **percent chance** of something happening in

the future. Your answers can range from 0 to 100, where 0 means there is absolutely no chance, and 100 means that it is absolutely certain.

For example, numbers like:

2 and 5 percent may indicate "almost no chance"
18 percent or so may mean "not much chance"
47 or 52 percent chance may be a "pretty even chance"
83 percent or so may mean a "very good chance"
95 or 98 percent chance may be "almost certain"

For example, what do you think is the percent chance that **over the next 12 months** you will move to a different primary residence (that is, the place where you usually live)?

[ ] %

We'll be asking some questions about inflation, so here's a quick explanation of what we mean by the **inflation rate** (or just inflation).

The inflation rate **measures how much prices for goods and services are increasing over a given period of time**. It reflects **how much more expensive a typical 'basket' of items that households in the U.S. buy has become**, usually over twelve months.

For example, if the inflation rate is 10%, a basket of goods and services that cost $100 twelve months ago would cost $110 now.

If the inflation rate is **negative**, this is called **deflation**, meaning that prices are actually falling. For instance, a deflation rate of 10% would mean a basket of goods and services costing $100 twelve months ago would cost $90 now.

We would like you to think about the different things that may happen to inflation **over the next 12 months**. We realize that this question may take a little more effort.

In your view, what would you say is the percent chance that, **over the next 12 months...**

the rate of inflation will be 12% or higher	0 %

the rate of inflation will be between 8% and 12%	0 %
the rate of inflation will be between 4% and 8%	0 %
the rate of inflation will be between 2% and 4%	0 %
the rate of inflation will be between 0% and 2%	0 %
the rate of deflation (opposite of inflation) will be between 0% and 2%	0 %
the rate of deflation (opposite of inflation) will be between 2% and 4%	0 %
the rate of deflation (opposite of inflation) will be between 4% and 8%	0 %
the rate of deflation (opposite of inflation) will be between 8% and 12%	0 %
the rate of deflation (opposite of inflation) will be 12% or higher	0 %
Total	0 %

Now, we would like you to think about the different things that may happen to unemployment **over the next 12 months**.

In your view, what would you say is the percent chance that, **over the next 12 months...**

the average unemployment rate will be 10% or more	0 %

the average unemployment rate will be between 8% and 10%	0 %
the average unemployment rate will be between 7% and 8%	0 %
the average unemployment rate will be between 6% and 7%	0 %
the average unemployment rate will be between 5% and 6%	0 %
the average unemployment rate will be between 4% and 5%	0 %
the average unemployment rate will be between 3% and 4%	0 %
the average unemployment rate will be between 2% and 3%	0 %
the average unemployment rate will be 2.0% or less	0 %
Total	0 %

Treatment: Control

Treatment: Positive

In this part of the survey, you need to **read carefully a news**. After reading it, you need to indicate your personal reaction to the news. There is no right or wrong answer, we just want to know your opinion!

In September, the Federal Reserve reduced interest rates by **half a percentage point**, a decision widely praised by market participants as a crucial step in response to current conditions after the rate increases during the Covid pandemic. This decisive action is seen by many as a positive, **providing significant relief for millions of US families and fostering greater confidence.**



Fed Cuts Rates: A Timely and Appropriate Response to Current Conditions

In September, the Federal Reserve reduced interest rates by...

After reading the news, please choose one of the proposed reactions (Love, Haha, Wow, Sad, Angry or Care) that best describes your emotions.

❤️ Love ○ 😆 Haha ○ 😲 Wow ○ 😢 Sad ○ 😡 Angry ○ 🥰 Care ○

Treatment: Negative

In this part of the survey, you need to **read carefully a news**. After reading it, you need to indicate your personal reaction to the news. There is no right or wrong answer, we just want to know your opinion!

In September, the Federal Reserve reduced interest rates by a **mere half a percentage point**, a move dismissed by some market participants as inadequate in response to current conditions, especially considering the sharp rate hikes during the Covid pandemic. Despite this minimal adjustment, the decision is seen by many as too little, too late, **leaving the everyday lives of millions of US families struggling with uncertainty and offering no meaningful relief**.



Fed Finally Cuts Rates: A Weak and Ineffective Response to Current Challenges

In September, the Federal Reserve reduced interest rates by...

After reading the news, please choose one of the

proposed reactions (Love, Haha, Wow, Sad, Angry or Care) that best describes your emotions.

❤️ Love ○ 😆 Haha ○ 😲 Wow ○ 😢 Sad ○ 😡 Angry ○ 🥰 Care ○

Treatment: Neutral

In this part of the survey, you need to **read carefully a news**. After reading it, you need to indicate your personal reaction to the news. There is no right or wrong answer, we just want to know your opinion!

In September, the Federal Reserve reduced interest rates by **half a percentage point.**



Fed Cuts Rates
In September, the Federal Reserve reduced interest rates by...

After reading the news, please choose one of the proposed reactions (Love, Haha, Wow, Sad, Angry or Care) that best describes your emotions.

❤️ Love ○ 😆 Haha ○ 😲 Wow ○ 😢 Sad ○ 😡 Angry ○ 🥰 Care ○

Treatment: Sentiments Only

In this part of the survey, you need to **read carefully** Facebook posts published by some news providers. After reading each post, you need to indicate your personal reaction to the post. There is no right or wrong answer, we just want to know your opinion!

A boat carrying about 140 Rohingya refugees has been stranded miles off the coast of Indonesia for over a week, banned from arriving on land as communities increasingly shun refugees arriving by sea.



Rohingya Refugees Are Stranded at Sea for Days as Residents Reject Them

After reading the post, please choose one of the proposed reactions (Love, Haha, Wow, Sad, Angry or

Care) that best describes your emotion.

❤️ Love 😆 Haha 😲 Wow 😢 Sad 😡 Angry 🥰 Care

Iran and Israel have fought a shadow war for decades, but this year, their conflict has burst into the open. Israel's military is now preparing for a military strike on Iran — a retaliation for Iran launching about 180 ballistic missiles at Israel.



Why Is Israel Poised to Attack Iran?

After reading the post, please choose one of the proposed reactions (Love, Haha, Wow, Sad, Angry or Care) that best describes your emotion.

❤️ Love 😆 Haha 😲 Wow 😢 Sad 😡 Angry 🥰 Care

Breaking News: North Korean troops are in Russia, the U.S. defense secretary said, calling the development “very serious,” but saying their purpose was unclear.

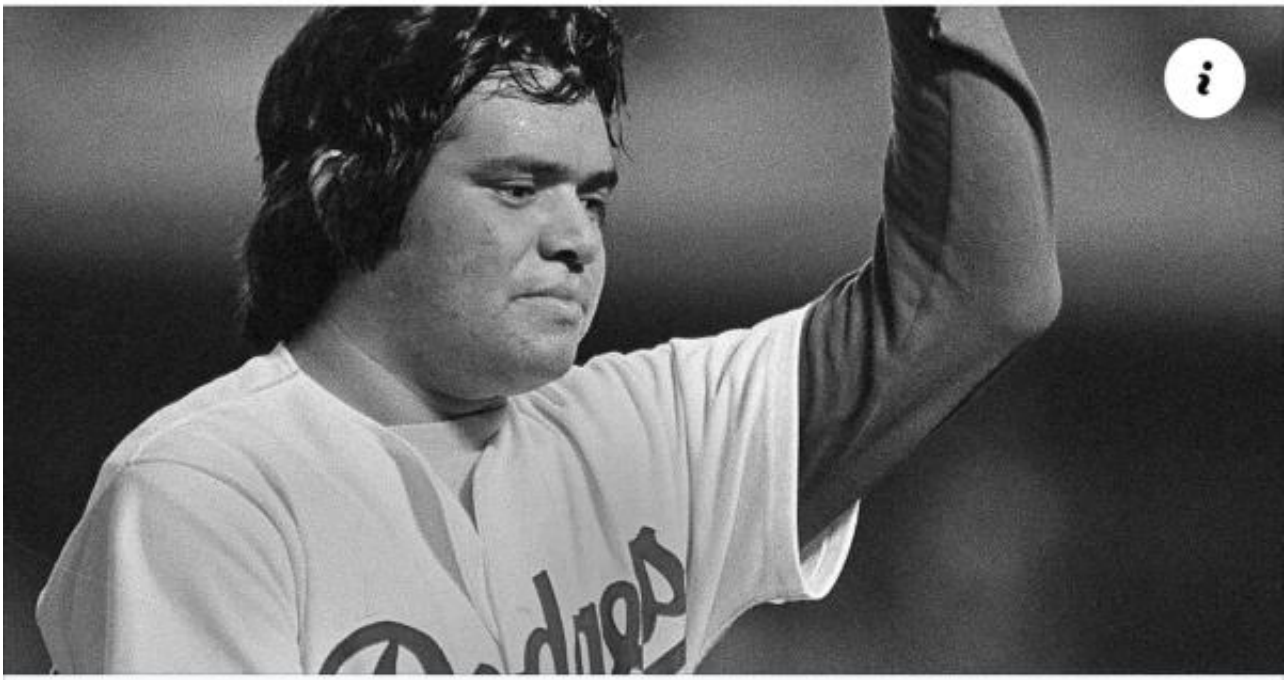


U.S. Says North Korean Troops Are in Russia, Calling It ‘Very Serious’

After reading the post, please choose one of the proposed reactions (Love, Haha, Wow, Sad, Angry or Care) that best describes your emotion.

❤️ Love 😆 Haha 😲 Wow 😢 Sad 😡 Angry 🥰 Care

Breaking News: Fernando Valenzuela, the Los Angeles Dodgers pitcher who enthralled fans in the 1980s, has died at 63.



Fernando Valenzuela, Dodgers Pitcher Who Enthralled Fans, Dies at 63

After reading the post, please choose one of the proposed reactions (Love, Haha, Wow, Sad, Angry or Care) that best describes your emotion.

❤️ Love ○ 😆 Haha ○ 😲 Wow ○ 😢 Sad ○ 😡 Angry ○ 🥰 Care ○

Former U.S. Marine Paul Whelan describes the moment of his arrest and the long years waiting for his release.



Paul Whelan's Life in a Russian Prison Awaiting a Hostage Swap

After reading the post, please choose one of the proposed reactions (Love, Haha, Wow, Sad, Angry or Care) that best describes your emotion.

❤️ Love ○ 😆 Haha ○ 😲 Wow ○ 😢 Sad ○ 😡 Angry ○ 🥰 Care ○

Posterior Expectations

Next, we want to know your opinion about **future** unemployment and inflation – there is no right or wrong answer. We understand that no one can know the future.

Please provide us your best guess.

Over the next 12 months, do you think that there will be inflation or deflation? (Note: deflation is the opposite of inflation)

- ○ Inflation
- ○ Deflation (the opposite of inflation)

What do you expect the rate of inflation to be **over the next 12 months**? Please give your best guess (in percentage).

[ ] %

What do you expect the rate of deflation to be **over the next 12 months**? Please give your best guess (in percentage, please do not use "-" sign).

[ ] %

How confident are you in your inflation forecast?

- ○ Not confident at all
- ○ Slightly confident
- ○ Somewhat confident
- ○ Moderately confident
- ○ Very confident

Can you explain the reasoning behind the number you chose for the expected rate of inflation over the next 12 months? What factors or considerations influenced your guess? Please share any thoughts, observations, or information that you took into account while making this guess.

Please type these in the box below.

What do you expect the unemployment rate to be **in 12 months**? Please give your best guess (in percentage).

%

How confident are you in your unemployment forecast?

- ○ Not confident at all
- ○ Slightly confident
- ○ Somewhat confident
- ○ Moderately confident
- ○ Very confident

Can you explain the reasoning behind the number you chose for the expected unemployment rate in 12 months? What factors or considerations influenced your guess? Please share any thoughts, observations, or information that you took into account while making this guess.

Please type these in the box below.

Past questions

Now we want you to think **about the past**.

Compared to **the same month last year**, how do you feel the prices of things you usually buy (like food, clothing, utilities, etc.) have changed (on average)? Have they increased, decreased, or stayed about the same? This is only about changes in prices, not the amount or variety of goods you've purchased.

- ○ Increased
- ○ Decreased
- ○ About the same

In the previous question you indicated that the prices of things you usually buy have increased compared to **the same month last year.** Can you estimate by how much (on average)? Please give your best guess in percentage terms about how much prices have gone up. This is only about changes in prices, not the amount or variety of goods you've purchased.

[ ] %

In the previous question you indicated that the prices of things you usually buy have decreased compared to **the same month last year**. Can you estimate by how much? Please give your best guess in percentage terms about how much prices have gone down. This is only about changes in prices, not the amount or variety of goods you've purchased.

[ ] %

How do you think, **over the past 12 months** (compared to the same month last year), the economy in general experienced inflation or deflation (opposite of inflation)?

- ○ Inflation
- ○ Deflation (opposite of inflation)

What was the inflation rate **over the past 12 months** (compared to the same month last year)? Please provide a percentage change compared to the same period last year.

[ ] %

What was the deflation (opposite of inflation) rate **over the past 12 months** (compared to the same month last year)? Please provide a percentage change compared to the same period last year. (please do not use "-" sign)

[ ] %

What is your best guess about the current unemployment rate in the U.S.?

[ ] %

Do you think you (and any family living with you) are financially better or worse off these days than you were **12 months ago**?

- ○ Much worse off
- ○ Somewhat worse off
- ○ About the same
- ○ Somewhat better off
- ○ Much better off

UNDERSTAND_INFl

In your opinion, in general, what are the main causes of inflation?

Please rank the following factors in order of how much you believe they contribute to inflation, with 1 being the most important.

Drag and drop the options to rank them from most important to least important.

Household spending

Firms' and businesses' actions

Costs of production increase

Political interests

The Federal Reserve policies

Government spending

Labor market changes

In general, what do you think is the relationship between interest rates and inflation?

Please select only one.

- ○ Higher inflation results in higher interest rates
- ○ Higher interest rates result in higher inflation
- ○ Lower inflation results in higher interest rates
- ○ Lower interest rates result in higher inflation
- ○ There is no relationship between interest rates and inflation
- ○ I do not know

For each of the following levels of inflation, please indicate whether you think it is good or bad for the economy.

	Very Bad	Bad	Neither Good nor Bad	Good	Very Good
- 1-2% (deflation)	○	○	○	○	○
0%	○	○	○	○	○
1-2%	○	○	○	○	○

3-4%	○	○	○	○	○
5-8%	○	○	○	○	○
9-12%	○	○	○	○	○
Above 12%	○	○	○	○	○

For each of the following levels of interest rates, please indicate whether you think it is good or bad for the economy.

	Very Bad	Bad	Neither Good nor Bad	Good	Very Good
0%	○	○	○	○	○
1-2%	○	○	○	○	○
3-4%	○	○	○	○	○
5-6%	○	○	○	○	○
9-8%	○	○	○	○	○
Above 8%	○	○	○	○	○

Were you aware that the Federal Reserve cut interest rates in September, prior to taking this survey?

- ○ Yes
- ○ No

What do you think is the percent chance that the Federal Reserve will increase interest rates in **the next 12 months**?

[ ] %

What do you think is the percent chance that the Federal Reserve will decrease interest rates in **the next 12 months**?

[ ] %

Do you think the Federal Reserve's future change in interest rates will affect inflation in **the next 12 months**?

- ○ Yes, it will have a significant effect
- ○ Yes, it will have a moderate effect
- ○ Yes, but it will have only a small effect
- ○ No, it will have no effect
- ○ Unsure

How much confidence, do you have in the Federal Reserve (the Fed) to act in the best interest of the public?

- ○ A great deal
- ○ A lot
- ○ A moderate amount
- ○ A little
- ○ None
- ○ I do not know what the Federal Reserve is

About Forecast

In your opinion, what do you believe will be the primary cause of the next recession?

- ○ Supply-side factors (e.g., disruptions in production, supply chain issues, etc.)
- ○ Demand-side factors (e.g., decreased consumer spending, reduced business investment, etc.)
- ○ [ ] Other (please specify)

To what extent do you believe political factors influence your expectations about future inflation?

- ○ Not at all
- ○ To a small extent
- ○ To a moderate extent
- ○ To a large extent

- ○ Completely

Who do you believe will win the upcoming U.S. presidential election?

- ○ Kamala Harris
- ○ Donald Trump
- ○ [ ] Other (please specify)
- ○ Unsure

News Consumption

We would like to gather some details about how you keep up with the news.

Would you say you follow the news...

- ○ Everyday
- ○ Several times a week
- ○ Once a week
- ○ A few times a month
- ○ Less than once a month
- ○ Never

Over the past year, have any news stories (events) caught your attention? List up to 5 memorable news events that come to mind. These can be recent or from any time in the past year. You don't need to recall every detail — just a brief description of what each story was about (in a few key words). For each news listed by you, select only one reaction from the options provided below that best describes your emotion toward the news.

	❤️ Love	😆 Haha	😲 Wow	😢 Sad	😡 Angry
News 1					
News 2					
News 3					
News 4					
News 5					

Think about the news stories you've **recently** seen or heard. Below, you'll find a list of different reactions you might have had to these news stories. Please allocate a percentage to each reaction based on how often you feel that way about these stories. The total percentage across all reactions should add up to 100%. You are free to distribute these percentages as you see fit based on your personal experience.

❤️ Love	0 %
😆 Haha	0 %
😲 Wow	0 %
😢 Sad	0 %
😡 Angry	0 %
🥰 Care	0 %
Total	0 %

In a typical week, how often do you get news from...?

	Often	Sometimes	Rarely	Never
Television	○	○	○	○
Radio	○	○	○	○
Printed publications (newspaper, magazine, etc.)	○	○	○	○

A smartphone, computer or tablet	○	○	○	○
Friends and acquaintances	○	○	○	○
Other	○	○	○	○

Other

Now thinking about the news you get on a **smartphone, computer, or tablet**, how often do you get news from...

	Often	Sometimes	Rarely	Never
News websites or apps	○	○	○	○
Social media such as Facebook, Twitter (or X), or other platforms	○	○	○	○
Google search or other search engines	○	○	○	○
Podcasts	○	○	○	○
Other	○	○	○	○

On average, how many **hours per day** do you use social media?

hours per day

Which social media platforms do you use **to access the latest news**? Please specify the percentage of news consumption for each platform you use.

The total should equal 100%.

Facebook	0 %
Twitter (or X)	0 %
YouTube	0 %
Reddit	0 %
Instagram	0 %
TikTok	0 %
Other	0 %
Total	0 %

Which type of news do you follow most frequently? Select all that apply.

- ☐ Political News
- ☐ Sports News
- ☐ Entertainment News
- ☐ Technology News

- [ ] Local News
- [ ] Health News
- [ ] International News
- [ ] Business and Finance News
- [ ] Economic News
- [ ] Other, please specify

Personal Characteristics

Please tell us some general information about you.

What is your US Zip Code?

In which state do you currently reside?

What is your current age? Please enter a number.

years old

Do you consider yourself to be Hispanic or Latina/Latino?

- ○ Yes
- ○ No

What racial or ethnic groups do you identify with? Select all that apply.

- ☐ Black or African American
- ☐ Asian
- ☐ American Indian or Alaska Native
- ☐ Native Hawaiian or Other Pacific Islander
- ☐ White
- ☐ _____ Other, please specify

What is your gender?

- ○ Male
- ○ Female
- ○ _____ Non-binary / third gender

What is the highest level of school you have completed, or

the highest degree you have received?

- ○ Less than high school
- ○ High school diploma (or equivalent)
- ○ Some college but no degree (including academic, vocational, or occupational programs)
- ○ Associate/Junior College degree (including academic, vocational, or occupational programs)
- ○ Bachelor's Degree (For example: BA, BS)
- ○ Master's Degree (For example: MA, MBA, MS, MSW)
- ○ Doctoral Degree (For example: PhD)
- ○ Professional Degree (For example: MD, JD, DDS)
- ○ [ ] Other

Generally speaking, do you usually think of yourself as ...

- ○ Republican
- ○ Independent, leaning towards Republican
- ○ Independent, No Preference
- ○ Independent, leaning towards Democrat
- ○ Democrat
- ○ [ ] Other (please specify)

What is your current employment situation?

Please select all that apply.

- [ ] Working full-time for someone
- [ ] Working full-time (self-employed)
- [ ] Working part-time for someone
- [ ] Working part-time (self-employed)
- [ ] Not working, but would like to work
- [ ] Temporarily laid off
- [ ] On sick or other leave
- [ ] Permanently disabled or unable to work
- [ ] Retiree or early retiree
- [ ] Student, at school or in training
- [ ] Homemaker
- [ ] Not working and not interested in working
- [ ] Other, please specify: _____

What was your total income before taxes during **the past 12 months**?

- ○ Less than $10,000
- ○ $10,000 to $19,999
- ○ $20,000 to $29,999
- ○ $30,000 to $39,999
- ○ $40,000 to $49,999

- ○ $50,000 to $59,999
- ○ $60,000 to $74,999
- ○ $75,000 to $99,999
- ○ $100,000 to $149,999
- ○ $150,000 to $199,999
- ○ $200,000 or more

Are you now married, widowed, divorced, separated or never married?

- ○ Never Married
- ○ Widowed
- ○ Separated
- ○ Divorced
- ○ Married

How many children do you have?

How many people are living or staying at the address you live?

INCLUDE everyone who is living or staying here for more

than 2 months.
INCLUDE yourself.
INCLUDE anyone else staying here who does not have another place to stay, even if they are here for 2 months or less.
DO NOT INCLUDE anyone who is living somewhere else for more than 2 months, such as a college student living away or someone in the Armed Forces on deployment.

- ○ 1
- ○ 2
- ○ 3
- ○ 4
- ○ 5
- ○ 6
- ○ More than 6

Which of the following categories includes the total combined income before taxes, for all members of your household during the **past 12 months**? (NOTE: Total household income includes money from jobs, net income from a business, a farm, or a rental property, government assistance, and any other money income received by members of the household who are 15 years of age or older.)

- ○ Less than $10,000
- ○ $10,000 to $19,999
- ○ $20,000 to $29,999
- ○ $30,000 to $39,999
- ○ $40,000 to $49,999
- ○ $50,000 to $59,999
- ○ $60,000 to $74,999
- ○ $75,000 to $99,999
- ○ $100,000 to $149,999
- ○ $150,000 to $199,999
- ○ $200,000 or more

We would next like to ask you about your debt situation. Consider all outstanding debt you have, including balances on credit cards (including retail/store cards), mortgages, home-based loans (such as home equity lines of credit), auto loans, student loans as well as all other personal loans.

Which of the following do you currently possess?

Please select all that apply.

- ☐ Credit card(s)
- ☐ Mortgage(s)

- [ ] Student loan(s)
- [ ] Home-based loan(s)
- [ ] Auto loan(s)
- [ ] Other personal loan(s)
- [ ] None of the above

What is your best guess of the current amount/balance of your mortgage debt?

_____ dollars

Cognitive Abilities

Next, we would like to ask you the following three questions.

A bat and a ball cost $110 in total. The bat costs $100 more than the ball. How much does the ball cost?

$ _____

If it takes 2 nurses 2 minutes to measure the blood

pressure of 2 patients, how long would it take 200 nurses to measure the blood pressure of 200 patients?

[ ] minutes

Simon decided to invest $8,000 in the stock market early in 2008. Six months after he invested, on July 17, the stocks he had purchased were down 50%. From July 17 to October 17, the stocks he had purchased went up 75%. At this point, Simon:

- ○ has broken even in the stock market
- ○ is ahead of where he began
- ○ has lost money

Literacy

Next we would like to ask you five questions to see how people use numbers in everyday life. Please answer the following questions by filling in the blank.

In a sale, a shop is selling all items at half price. Before the sale, a sofa costs $300. How much will it cost in the sale?

$

Let's say you have $200 in a savings account. The account earns ten per cent interest per year. Interest accrues at each anniversary of the account. If you never withdraw money or interest payments, how much will you have in the account at the end of two years?

$

In the BIG BUCKS LOTTERY, the chances of winning a $10.00 prize are 1%. What is your best guess about how many people would win a $10.00 prize if 1,000 people each buy a single ticket from BIG BUCKS?

people

Imagine that the interest rate on your savings account was 1% per year and inflation was 2% per year. After one year, how much would you be able to buy with the money in this account?

- ○ More than today

- ○ Exactly the same
- ○ Less than today

Please tell me whether this statement is true or false: Buying a single company's stock usually provides a safer return than a stock mutual fund.

- ○ True
- ○ False

Feedback

Have you recently participated in any other surveys that asked about your expectations for inflation or future prices?

- ○ Yes
- ○ No

Do you have any other comments about the survey or the survey experience?

Please type these in the box below.

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Wave 2 - Nov 6, 2024

Prolific

What is your unique Prolific ID?

Intro

Thank you for agreeing to participate in our survey! We're a research team from Indiana University. We want to learn about your outlook for the future.

This survey will take less than 5 minutes to complete as it includes only 7 questions. For your participation, you will receive $1.00.

Please note that there are no right or wrong answers in this survey – we are interested in your personal views and opinions. Your responses are confidential and it helps us a great deal if you respond as carefully as possible. De-identified data may be shared with the research community to advance scholarly knowledge, ensuring

that your identity remains anonymous.

If you have any questions, you may contact the researcher at Indiana University, Sergii Drobot at sdrobot@iu.edu. For questions about your rights as a study participant, contact the Indiana University Human Subjects Office at 800-696-2949 or irb@iu.edu (reference study 17972).

Please select "->" to continue.

Follow-Up

We'll be asking some questions about inflation, so here's a quick explanation of what we mean by the **inflation rate** (or just inflation).

The inflation rate **measures how much prices for goods and services are increasing over a given period of time.** It reflects **how much more expensive a typical 'basket' of items that households in the U.S. buy has become**, usually over twelve months.

For example, if the inflation rate is 10%, a basket of goods

and services that cost $100 twelve months ago would cost $110 now.

If the inflation rate is **negative**, this is called **deflation**, meaning that prices are actually falling. For instance, a deflation rate of 10% would mean a basket of goods and services costing $100 twelve months ago would cost $90 now.

We would like you to think about the different things that may happen to inflation **over the next 12 months**. We realize that this question may take a little more effort.

In your view, what would you say is the percent chance that, **over the next 12 months...**

the rate of inflation will be 12% or higher	0
the rate of inflation will be between 8% and 12%	0
the rate of inflation will be between 4% and 8%	0
the rate of inflation will be between 2% and 4%	0
the rate of inflation will be between 0% and 2%	0
the rate of deflation (opposite of inflation) will be between 0% and 2%	0

the rate of deflation (opposite of inflation) will be between 2% and 4%	0
the rate of deflation (opposite of inflation) will be between 4% and 8%	0
the rate of deflation (opposite of inflation) will be between 8% and 12%	0
the rate of deflation (opposite of inflation) will be 12% or higher	0
Total	0

Now, we would like you to think about the different things that may happen to unemployment **over the next 12 months.**

In your view, what would you say is the percent chance that, **over the next 12 months...**

the average unemployment rate will be 10% or more	0
the average unemployment rate will be between 8% and 10%	0
the average unemployment rate will be between 7% and 8%	0
the average unemployment rate will be between 6% and 7%	0
the average unemployment rate will be between 5% and 6%	0
the average unemployment rate will be between 4% and 5%	0

the average unemployment rate will be between 3% and 4%	0
the average unemployment rate will be between 2% and 3%	0
the average unemployment rate will be 2.0% or less	0
Total	0

In this part of the survey, you need to **read carefully a news**. After reading it, you need to indicate your personal reaction to the news. There is no right or wrong answer, we just want to know your opinion!

Breaking News: Donald Trump was elected the 47th president of the United States, a stunning return to power after a dark and defiant campaign. He is the first politician since the late 1800s to lose re-election and later mount a successful run.



After reading the news, please choose one of the proposed reactions (Love, Haha, Wow, Sad, Angry or Care) that best describes your emotions.

❤️ Love ○ 😆 Haha ○ 😲 Wow ○ 😢 Sad ○ 😡 Angry ○ 🥰 Care ○

Over the next 12 months, do you think that there will be

inflation or deflation? (Note: deflation is the opposite of inflation)

- ○ Inflation
- ○ Deflation (the opposite of inflation)

What do you expect the rate of inflation to be **over the next 12 months**? Please give your best guess (in percentage).

What do you expect the rate of deflation to be **over the next 12 months**? Please give your best guess (in percentage, please do not use "-" sign).

What do you expect the unemployment rate to be **in 12 months**? Please give your best guess (in percentage).

Before taking part in this survey, were you aware of the results of the recent U.S. Presidential election?

- ○ Yes, I was aware of the results.
- ○ No, I was not aware of the results.
- ○ The results are not definite yet.

Do you have any other comments about the survey or the survey experience?

Please type these in the box below.

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